

Digital Notes



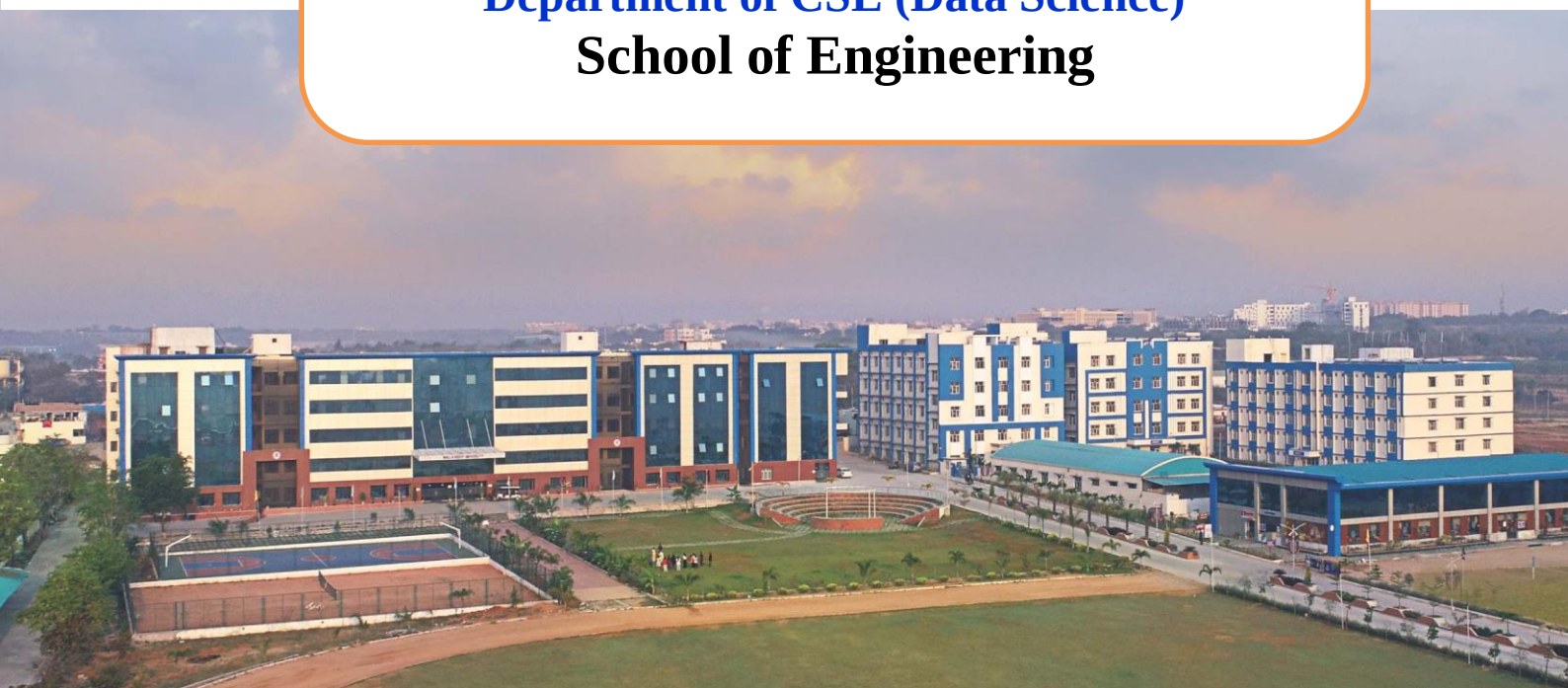
**MALLA REDDY
UNIVERSITY**

(Telangana State Private Universities Act No.13 of 2020 and
G.O.Ms.No.14, Higher Education (UE) Department)

Intellectual Property Rights

**III B.Tech I Semester
(2024-25)**

**Department of CSE (Data Science)
School of Engineering**



MALLA REDDY UNIVERSITY

(MR22-1BM0169) INTELLECTUAL PROPERTY RIGHTS

UNIT I

Introduction to Intellectual Property

Introduction: -

Intellectual property Right (IPR) is a term used for various legal entitlements which attach to certain types of information, ideas, or other intangibles in their expressed form. The holder of this legal entitlement is generally entitled to exercise various exclusive rights in relation to the subject matter of the Intellectual Property. The term intellectual property reflects the idea that this subject matter is the product of the mind or the intellect, and that Intellectual Property rights may be protected at law in the same way as any other form of property. Intellectual property laws vary from jurisdiction to jurisdiction, such that the acquisition, registration or enforcement of IP rights must be pursued or obtained separately in each territory of interest.

Meaning of Intellectual property: -

Intellectual property (IP) refers to the intangible creations of the human mind like inventions, literary and artistic works, and symbols, names, images and designs used in commerce.

Intellectual property is divided into two categories:

1. Industrial Property

2. Copyright

Industrial property, which includes inventions (patents), trademarks, industrial designs, and geographic indications of source;

and Copyright, which includes literary and artistic works such as novels, poems and plays, films, musical works, artistic works such as drawings, paintings, photographs and sculptures, and architectural designs.

Rights related to copyright include those of performing artists in their performances, producers of phonograms in their recordings, and those of broadcasters in their radio and television programs. Intellectual property rights protect the interests of creators by giving them property rights over their creations.

The most noticeable difference between intellectual property and other forms of property, however, is that intellectual property is intangible, that is, it cannot be defined or identified by its own physical parameters. It must be expressed in some discernible way to be protectable.

Generally, it encompasses four separate and distinct types of intangible property namely — patents, trademarks, copyrights, and trade secrets, which collectively are referred to as “intellectual property.” However, the scope and definition of intellectual property is constantly evolving with the inclusion of newer forms under the gambit of intellectual property. In recent times, geographical indications, protection of plant varieties, protection for semi-conductors and integrated circuits, and undisclosed information have been brought under the umbrella of intellectual property.

Intellectual Property Rights: -

Intellectual property rights (IPR) can be defined as the rights given to people over the creation of their minds. They usually give the creator an exclusive right over the use of his/her creations for a certain period of time.

Various forms Of Intellectual Property

1. Patents
2. Trademarks
3. Copyright
4. Industrial Designs
5. Geographical Indication
6. Semiconductor Integrated circuit's layout – Design
7. Trade secrets

Important Species of IPR

Out of the different types of Intellectual Property Rights the following are the most important species of IPR

TRADEMARKS: -

According to section 2, sub-section (1) of the Trade Marks Act 1999, "Trade Mark" means a mark capable of being represented graphically and which is capable of distinguishing the goods or services of one person from those of others and may include shape of goods, their packaging and combination of colours.

Trade mark registration is an effective and economic way of ensuring your brand is protected. Registration provides a safeguard against third party infringement and often acts as an effective deterrent against third parties considering or contemplating infringement. Failure to protect brand may reduce its value, and could damage your business' reputation. It is also important to be attentive to the activities of your competitors. If you suspect or witness your brand being infringed it is best to take action as soon as possible. The longer the infringing activity exists, the more difficult to maintain the registered trademark and chances of trademark becoming

generic.

Genericide is the term used to describe the death of a trademark that results from the brand name becoming the name of the object itself.

COPYRIGHTS: -

1847 is the First Copyright law Enactment in India during British Regime. The term of copyright was for the lifetime of the author and 60 years counted from the year following the death of the author.

Copyright law is designed to protect interests and balance the rights of the following stake holders

- Authors/ Creators
- Publishers/ Entrepreneurs
- Users /Audiences

Indian Copyright Act is the one of the best Copyright enactments in the world.

The Copyright Act 1911, while repealing earlier statutes on the subject, was also made applicable to all the British colonies including India. In 1914, the Indian Copyright Act was enacted which modified some of the provisions of Copyright Act 1911 and added some new provisions to it to make it applicable in India. Copyright Act, 1911 was in existence in India till the new Copyright Act, 1957 was introduced in India Post Independence. In India, the Copyright Act, 1957 (as amended in 1999), the Rules made there under and the International Copyright Order, 1999 govern Copyright and neighbouring rights. This Act has been amended five times i.e 1983,1984,1992,1999 and most recently in 2012.

What can be protected under Copyright?

Literary, Dramatic, Artistic, Musical, Cinematographic, Photographic and Sound Recording works.

Literary works such as novels, poems, plays, reference works, newspapers and computer programs; databases; films, musical compositions, and choreography; artistic works such as paintings, drawings, photographs and sculpture; architecture; and advertisements, maps and technical drawings.

PATENTS: -

Patent is a grant for an invention by the Government to the inventor in exchange for full disclosure of the invention. A patent is an exclusive right granted by law to applicants / assignees to make use of and exploit their inventions for a limited period of time (generally 20 years from filing). The patent holder has the legal right to exclude others from commercially exploiting his invention for the duration of this period. In return for exclusive rights, the applicant is obliged to disclose the invention to the public in a manner that enables others, skilled in the art, to replicate the invention. The patent system is designed to balance the interests of applicants / assignees (exclusive rights) and the interests of society (disclosure of invention).

Meaning of ‘Invention’ under Patent

Law Sec.2(1)(J) - Invention” means a new product or process involving an inventive step and capable of industrial application.

There are three types of patents:

Utility patents may be granted to anyone who invents or discovers any new and useful process, machine, article of manufacture, or composition of matter, or any new and useful improvement thereof;

Design patents may be granted to anyone who invents a new, original, and ornamental design for an article of manufacture; and

Plant patents may be granted to anyone who invents or discovers and asexually reproduces any distinct and new variety of plant.

TRADE SECRETS: -

A trade secret consists of any valuable business information. The business secrets are not to be known by the competitor. There is no limit to the type of information that can be protected as trade secrets; For Example: Recipes, Marketing plans, financial projections, and methods of conducting business can all constitute trade secrets. There is no requirement that a trade secret be unique or complex; thus, even something as simple and nontechnical as a list of customers can qualify as a trade secret as long as it affords its owner a competitive advantage and is not common knowledge. If trade secrets were not protectable, companies would no incentive to invest time, money and effort in research and development that ultimately benefits the public. Trade secret law thus promotes the development of new methods and processes for doing business in the marketplace.

Protection of Trade Secrets:

Although trademarks, copyrights and patents are all subject to extensive statutory scheme for their protection, application and registration, there is no federal law relating to trade secrets and no formalities are required to obtain rights to trade secrets. Trade secrets are protectable under various state statutes and cases and by contractual agreements between parties.

For Example: Employers often require employees to sign confidentiality agreements in which employees agree not to disclose proprietary information owned by the employer. If properly protected, trade secrets may last forever. On the other hand, if companies fail to take reasonable measures to maintain the secrecy of the information, trade secret protection may be lost. Thus, disclosure of the information should be limited to those with a “need to know” it so as to perform their duties, confidential information should be kept in secure or restricted areas, and employees with access to proprietary information should sign nondisclosure agreements. If such measures are taken, a trade secret can be protected in perpetuity. Another method by which companies protect valuable information is by requiring employee to sign agreements promising not to compete with the employer after leaving the job. Such covenants are strictly scrutinized by courts, but generally, if they are reasonable in regard to time, scope and subject matter, they are enforceable.

GEOGRAPHICAL INDICATION: -

GI is an indication, originating from a definite geographical territory. It is used to identify agricultural, natural or manufactured goods produced, processed or prepared in that particular territory due to which the product has special quality, reputation and/or other characteristics. Examples of Indian Geographical Indications are Basmati Rice, Alphonso Mango, Nagpur Orange, Kolhapuri Chappal, Bikaneri Bhujia, Agra Petha, Paithani and Banaras Saree, Feni (Liquor from Goa), Lonavala Chikki, Tirunelveli Halwa, Mysore Rasam, etc.

Industrial Design: -

An industrial design right is an intellectual property right that protects the visual design of objects that are purely utilitarian. An industrial design consists of the creation of a shape, configuration or composition of pattern or color, or combination of pattern and color in three-dimensional form containing aesthetic value. An industrial design can be a two- or three-dimensional pattern used to produce a product, industrial commodity or handicraft. In a legal sense, an industrial design constitutes the ornamental aspect of an article. An industrial design may consist of three-dimensional features, such as the shape of an article, or two-dimensional features, such as patterns, lines or color.

Requirements for a design to qualify for protection:

- It should be novel and original;
- It should be applicable to a functional article;
- It should be visible on a finished article;
- It should be non-obvious; and
- There should be no prior publication or disclosure of the design.

EVOLUTION OF IP ACTS AND TREATIES

The evolution of international IP acts through different treaties and the formation of World Intellectual Property Organization (WIPO) is given below in brief.

1883 – Paris Convention (France)

The Paris Convention for the Protection of Industrial Property is born. This international agreement is the first major step taken to help creators ensure that their intellectual works are protected in other countries. The need for international protection of intellectual property (IP) became evident when foreign exhibitors refused to attend the International Exhibition of Inventions in Vienna, Austria in 1873 because they were afraid their ideas would be stolen and exploited commercially in other countries.

The Paris Convention covers:

- Inventions (patents)
- Trademarks
- Industrial designs

1886 – Berne Convention (Switzerland)

Following a campaign by French writer Victor Hugo the Berne Convention for the Protection of Literary and Artistic Works is agreed. The aim is to give creators the right to control and receive payment for their creative works on an international level.

Works protected include:

- Novels, short stories, poems, plays;
- Songs, operas, musicals, sonatas; and
- Drawings, paintings, sculptures, architectural works.

1891 – Madrid Agreement (Spain)

With the adoption of the Madrid Agreement, the first international IP filing service is launched: the Madrid System for the international registration of marks. In the decades that follow, a full spectrum of international IP services will emerge under the auspices of what will later become WIPO.

1893 – BIRPI established

The two secretariats set up to administer the Paris and Berne Conventions combine to form WIPO's immediate predecessor, the United International Bureaux for the Protection of Intellectual Property – best known by its French acronym, BIRPI. The organization, with a staff of seven, is based in Berne, Switzerland.

1970 – BIRPI becomes WIPO

The Convention establishing the World Intellectual Property Organization (WIPO) comes into force and BIRPI is thus transformed to become WIPO. The newly established WIPO is a member state-led, intergovernmental organization, with its headquarters in Geneva, Switzerland.

1974 – WIPO joins the UN

WIPO joins the United Nations (UN) family of organizations, becoming a specialized agency of the UN. All member states of the UN are entitled, though not obliged, to become members of the specialized agencies.

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1978 – PCT System launched

The PCT international patent system begins operation. The PCT expands rapidly to become WIPO's largest international IP filing system today.

The Patent Cooperation Treaty (PCT) makes it possible to seek patent protection for an invention simultaneously in each of a large number of countries by filing an "international" patent application.

TRIPS Agreement

India along with other emerging nations graced a signatory to the Treaty of TRIPS of the World Trade Organisation (WTO) in 1995 with a matter that agreement will allow free flow of trade, investment and eliminate the restrictions enduring in the norm of Intellectual Property. The Agreement on Trade Related Aspects of Intellectual Property Rights (TRIPS) is an international agreement administered by the World Trade Organization (WTO) that sets down minimum standards for many forms of intellectual property (IP) regulation as applied to nationals of other WTO Members. The Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) is an international legal agreement between all the member nations of the World Trade Organization (WTO).

The TRIPS Agreement aims for the transfer of technology and requires developed country members to provide incentives for their companies to promote the transfer of technology to least-developed countries in order to enable them to create a sound and viable technological base.

AGENCIES RESPONSIBLE FOR IPR REGISTRATIONS

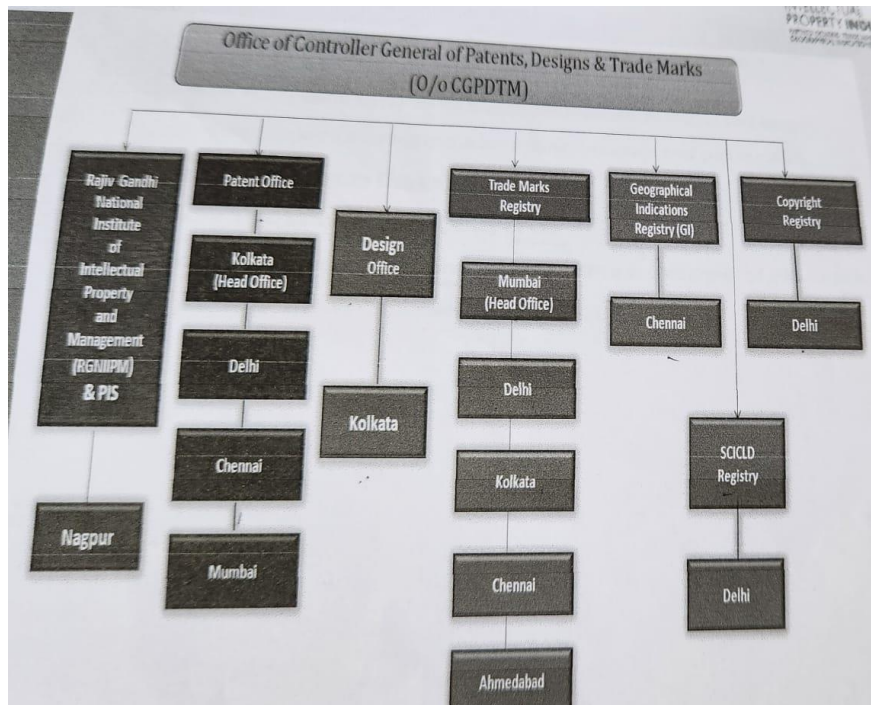
National IPR Agencies:

The office of the Controller General of Patents, Designs and trademarks (CGPDTM), a subordinate Office under The Department for Promotion of Industry and Internal Trade (DPIIT), carries out statutory functions related to grant of Patents and registration of Trademarks, Designs and Geographical Indications. The registration of copyrights is administered by the Registrar of Copyright Office, working under the CGPDTM. It functions out of offices situated in Delhi, Kolkata, Mumbai, Chennai and Ahmadabad, while the Central IP Training Academy is at Nagpur.

The appropriate office of the patent office shall be the head office of the patent office or the branch office as the case may be within whose territorial limits. Residence of applicant or

Domicile; or their place of business; or the place where the invention actually originated.

- The office of the Controller General of Patents, Designs and trademarks (CGPDTM)
- The Head Office of the Patent office – Kolkata
- The Trade mark registry – Mumbai
- The Design office is located at Kolkata in the Patent office
- The office of the Patent Information System (PIS) and National Institute of Intellectual Property Management (NIIPM) are at Nagpur.
- The Controller General supervises the working of the Patent Act, 1970, as amended, the Design Act, 2000 and the Trade mark Act, 1999.



Intellectual Property Appellate Board (IPAB):

Intellectual Property Appellate Board (IPAB) has been established in the year 2003, under Section 84 of the Trade Marks Act, 1999. The Board hears appeals against the decision of Controller of Patents (under the Patents Act, 1970), Registrar of Trade Marks (under the Trade Marks Act, 1999) and Geographical Indication cases (under the Geographical Indication & Protection Act, 1999). The Copyright Board and Plant Varieties Protection Appellate Tribunal function under the ambit of IPAB in accordance with their respective Acts and Rules.

International IPR Agencies:

There are a number of International organizations and agencies that promote the use and protection of intellectual property.

International Trademark Association (INTA)

INTA is a not-for-profit international association composed chiefly of trademark owners and practitioners. It is a global association. Trademark owners and professionals dedicated in supporting trademarks and related IP in order to protect consumers and to promote fair and effective commerce. More than 4000 (Present 6500 member) companies and law firms more than 150 (Present 190 countries) countries belong to INTA, together with others interested in promoting trademarks. INTA members have collectively contributed almost US \$ 12 trillion to global GDP annually. INTA undertakes advocacy work throughout the world to advance trademarks and offers educational programs and informational and legal resources of global interest. Its head quarter in New York City, INTA also has offices in Brussels, Shanghai and Washington DC and representative in Geneva and Mumbai. This association was founded in 1878 by 17 merchants and manufacturers who saw a need for an organization. The INTA is formed to protect and promote the rights of trademark owners, to secure useful legislation (the process of making laws), and to give aid and encouragement to all efforts for the advancement and observance of trademark rights.

World Intellectual Property Organization (WIPO)

WIPO was founded in 1883 and is specialized agency of the United Nations whose purposes are to promote intellectual property throughout the world and to administer 23 treaties (Present 26 treaties) dealing with intellectual property. WIPO is one of the 17 specialized agencies of the United Nations. It was created in 1967, to encourage creative activity, to promote the protection of Intellectual Property throughout the world. Around 193 nations are members of WIPO. Its headquarters in Geneva, Switzerland, current Director General of WIPO is Francis Gurry took charge on October 1, 2008.

Historical Background of WIPO

- The origins of WIPO go back to 1883 and 1886 when the Paris Convention for the Protection of Industrial Property and the Berne Convention for the Protection of Literary and Artistic Works provided for the establishment of an "International Bureau".
- The two bureaus were united in 1893 and, in 1970, were replaced by the World Intellectual Property Organization, by virtue of the WIPO Convention signed at Stockholm on July 14, 1967.

WIPO-Three main organs

- The WIPO General Assembly
- The WIPO Conference
- The WIPO Coordination Committee

Objectives of the WIPO

- To promote the protection of intellectual property throughout the world through cooperation among States
- To ensure administrative cooperation among the Unions.

FUNCTIONS OF WIPO

1. WIPO promotes the development of measures to facilitate the efficient protection of intellectual property throughout the world and to harmonize national legislation in this field;
2. WIPO performs the administrative tasks of the Paris Union,
3. WIPO participate in, the administration of any other international agreement designed to promote the protection of intellectual property;
4. WIPO encourages the conclusion of international agreements designed to promote the protection of intellectual property.
5. WIPO offers its cooperation to States requesting legal-technical assistance in the field of intellectual property;
6. WIPO assemble and disseminate information concerning the protection of intellectual property,
7. WIPO maintains services facilitating the international protection of intellectual property and, where appropriate, provide for registration in this field and the publication of the data concerning the registrations;
8. WIPO takes all other appropriate actions.

WIPO-Treaties

- Nairobi Treaty -Paris Convention-Patent Law Treaty
- Marrakesh VIP Treaty-Phonograms Convention
- Rome Convention-Singapore Treaty on the Law of Trademarks
- Trademark Law Treaty-Washington Treaty-
- WIPO Copyright Treaty (WCT)

- WIPO Performances and Phonograms Treaty (WPPT)

ISSUES AFFECTING IP INTERNATIONALLY

The major IP Issue Areas to be considered in International Trade are as follows

- IP Rights are Territorial
- Secure Freedom to Operate
- Respect Deadlines
- Early Disclosure
- Working with Partners
- Choosing an Appropriate Trademark

IP Rights are Territorial

It is important to keep in mind that IP rights are only valid in the country or region in which they have been granted. Therefore, applying for such rights in other countries is important if there is an intention to go international. However, note copyright is automatically available through the provisions of the Berne Convention, famous marks have automatic protection, trade secrets are by their nature confidential.

IP Rights can be obtained internationally as follows

National Route -Apply in each country, pay fees, translation into national languages

International Route (PCT) - The Patent Cooperation Treaty (PCT) is an international patent law treaty, concluded in 1970. It provides a unified procedure for filing patent applications to protect inventions in each of its contracting states.

Freedom to Operate (FTO)

Analyzing FTO is to evaluate whether you are in any way infringing the patents, designs or trademarks of others. Such a evaluation is usually done by conducting a search in patent, trademark and design databases for patent applications, granted patents, registered trademarks or designs As patents, trademarks and designs are granted to particular territories an FTO search may reveal that the particular IP in question is not protected in the territory of interest.

Reason for conducting searches are

- Same or confusingly similar trademark may already exist in the export market
- Technology not patented in one country may be patented elsewhere

Respect Deadlines

Priority Period -Once an application for a patent or design right has been made domestically (priority date) an international application has to be made within the “priority period.” The international application will benefit from the priority date. A filing after the priority period has lapsed would mean you can’t benefit from the earlier priority date and novelty will be lost.

Patents: 12 months

Designs: 6 months

Risks of Early Disclosure

Patents and designs are required to be novel to merit protection. If a product needs to be disclosed, it should be done in a Non-disclosure Agreement. If not, the novelty could be lost and an application for registration be rejected. This is particularly important in disclosing products that embody inventions and/or designs to potential partners before protection has been obtained.

Working with Partners

Ownership of IP, Creation of new IP and who owns that, Assignments/licenses for ownership. Risk of unauthorized use or disclosure of trade secrets by partner. Risk that partner will use trade secrets of others and expose you to litigation. Insist on indemnification. Quality of product to be maintained so as to sustain brand image. Trademarks, if registered in the partner's name in the country, could create problems once the relationship ends.

Choosing an Appropriate Trademark

Check whether the mark has undesired connotations or is likely to be rejected in any country. For example, Mitsubishi was dismayed to find that PAJERO means 'wanker' in Spanish. Ford NOVA means no go in Spanish. But Coca-Cola was successful in finding a trademark in Chinese to say "happiness in the mouth".

Intellectual Property audit

An Intellectual Property audit is a tool for assessing the IP assets of a business, namely the trade marks, patents, design rights and copyright. A comprehensive IP audit will include:

- Identifying the IP assets held by a business;
- An assessment of the protection currently in place to protect IP;
- An assessment of the current IP against the needs of the business;
- The systems in place within a business to protect future assets;

The audit will identify risks to the business and provide recommendations on how such risks can be eliminated or mitigated. The audit will also recognize and protect opportunities and direct budget to where it can be used most effectively. An effective audit is based on good

communication. The relevant parts of the business must all be on the same page and understand the direction of travel and this needs to be effectively communicated and understood by your IP advisors. Communicating effectively in this way ensures that the various working parts of a business are aligned and problems further down the line are avoided.

Which businesses would benefit from an IP Audit ?

In short, all businesses would benefit from an IP audit and the size of the business dictates the size of the undertaking. The sooner you conduct an audit and put the business on the right track with its IP assets the more effective the business can be going forward, however, an audit can be particularly effective at certain stages, such as:

- First year of trading to make sure you are secure in what you're doing, and that the necessary protection is put in place to continue to do so.
- New product or service launches to ensure you implement the correct protection strategy.
- When seeking investment or contemplating a merger or acquisition . A strong IP portfolio can make a business more attractive to investors.
- When assessing and developing the overriding business strategy, an effective IP strategy can help deliver your commercial goals.

What are the benefits of an IP Audit?

We've already touched on several benefits, but an IP audit can further add value to your business and its future growth by:

Protecting the business: One, often overlooked, benefit of IP is to ensure the business can continue to trade and thrive with minimal risk from third party infringement. Conducting an audit will ensure that risks are identified so they are mitigated, and you are in the best position for the business to move forward.

Identifying costs savings: All businesses have a limited budget for IP so its important to make your budget work for you. An IP audit can ensure that your decisions are well informed and

produce maximum value for the business.

Identifying opportunities: When managed effectively, IP can create new revenue streams. For example, An IP audit could help you to identify opportunities to licence your IP to third parties in new or existing territories.

Identifying value: IP in any business has a monetary value and it changes over time. An IP audit can aid the assessment of the monetary value of your IP, which can add to the balance sheet of the business and can be used to attract investment or as collateral to raise funds. Our [Trade Mark Attorneys](#) recommend regular IP audits to better understand your real IP value.

Assessing new markets: Before entering a new market, whether that be with a new product or a new territory you need to be aware of the risks and the cost of entering that market. An IP audit can assist with such assessments so that you can make wise decisions for your brand.

An effective IP audit will highlight any risks to your business or it's brands and show you clearly how to use your IP effectively as a tool for business growth. If you don't manage your IP correctly then you risk exposing your business to:

- infringement of third party rights
- missed opportunities for growth or expansion
- valuable budget wasting.

How do I carry out an IP audit?

It is highly recommended that you engage an IP specialist to conduct and advise on an IP audit. IP Professionals have an in-depth knowledge of the various types of IP and the mechanisms for securing protection. It's important to engage advisors that will take the time to understand your business, how you operate and your business plan moving forward.

Whilst an audit will include an assessment of the IP a business currently owns, it will also include a detailed action plan of what is required to get the business to where it needs to be.

Once an audit has been conducted it is important that it is reviewed on a regular basis, ideally on an annual basis. Once the main audit has been conducted an annual review will ensure that the IP strategy will adapt to the changing needs of the business and make sure that you continue to benefit from the time and effort invested in the initial audit.

IMPORTANCE OF INTELLECTUAL PROPERTY RIGHTS

- Protecting Intellectual Property Rights
- Technology has led to increase awareness about the IP
- Some individuals and companies offer only knowledge. Thus, computer consultant, advertising agencies, Internet companies, and software implementers sell only brainpower.
- Domain names and moving images are also be protected
- More than fifty percent of U.S. exports now depend on some form of intellectual property protection.
- The rapidity with which information can be communicated through the Internet has led to increasing challenges in the field of intellectual property.
- The most valuable assets a company owns are its Intellectual property assets
- Companies must act aggressively to protect these valuable assets from infringement (breaching, violation of law) or misuse by others
- The field of intellectual property law aims to protect the value of such investments.

INTERNATIONAL OVERVIEW ON INTELLECTUAL PROPERTY

International intellectual property law is a patchwork area of intersecting multilateral and bilateral agreements and their resulting harmonization of national laws. It has become an increasingly important and frequently litigated area, particularly in the patent, copyright, and trademark arenas. In addition, in the past few decades, there have been louder calls for the protection of domain names, databases, software, and traditional knowledge. Many of these cutting edge intellectual property issues are addressed on an international level through the World Intellectual Property Organization

(WIPO). Along with new forms of protection, the trend towards globalization in the trade arena has had a direct effect on the harmonization of national intellectual property laws through the World Trade Organization (WTO) and regional trade organizations. With increased interest in international intellectual property law, there are now numerous high quality electronic resources that cover various facets of this ever-changing area.

UNIT-II

Trademark and Trade Secret

Meaning of Trademark

A trademark is a unique symbol, word, or phrase that identifies and distinguishes a company's goods or services from those of its competitors. Trademarks are protected by law and are used to prevent others from using similar marks that could cause confusion among consumers. Trademarks can be registered with the relevant authorities to gain additional legal protection.

Definition of Trademark

A "Trademark" [TM] is defined under Section 2(zb) of the Indian Trademark Act, 1999 as "Mark capable of being represented graphically and which is capable of distinguishing the goods or services of one person from those of others and may include a shape of goods, their packaging and combination of colours".

Signs which may serve as Trademarks

- **Words :** This category includes company names, surnames, forenames, geographical names and any other words or sets of words, whether invented or not, and slogans.

- **Letters and Numerals:** Examples are one or more letters, one or more numerals or any combination thereof.
- **Devices :** This category includes fancy devices, drawings and symbols and also two-dimensional representations of goods or containers
- **Coloured Marks:** This category includes words, devices and any combination thereof in colour.
- **Three- Dimensional Signs:** A typical category of three-dimensional (3D) signs is the shape of the goods or their packaging.
- **Phrases:** A group of words that can be used to communicate something.

Objective and Functions of Trade Marks

A trademark is a brand name or logo associated with the company's goods, products or services. The consumers who buy the goods or avail of the services recognize it with its brand. The brand or trademark may consist of words or numerals, designs or a combination of all.

A trademark can distinguish the goods or services of one person or company from those of others. They are intellectual property rights in India. The Trademarks Act, 1999, regulates the registration and functions of a trademark.

Primary Functions of Trademarks

A trademark primarily serves the purpose of identifying the origin or source of goods, products or services. In India, a trademark performs the following functions:

- It identifies the product and its origin
- It proposes to guarantee the quality of the product
- It advertises the product as it represents the product
- It creates the image of a product in the minds of the public, especially the consumers or the prospective consumers of the product

Product Differentiation Function

Trademarks serve as the basic means of achieving product or service differentiation. The trademarks enable a customer to distinguish goods, products or services in the market without confusion and make him/her arrive at a decision on what to purchase.

In perfect competition, trademarked services or products of various sellers are the perfect substitutes for a buyer. But in product differentiation competition, such trademarked services or products are just close substitutes. The competition takes place in building brand loyalty and advertising effort based on the non-substitutability of the services or products.

For example: The advertisers of the brand 'Surf' seek to build an image that the 'Surf' brand has qualities that cannot be replaced by any other detergent and all the other detergents like 'Ariel' or 'RIN' possess different quality or characteristics. A message is built up that the customer is looking for the product 'Surf' and not just a detergent.

Identification of Source and Origin Function

One of the most important functions of a trademark is to serve as information to the customers for identifying the origin or source of a product. The trademark guarantees the identity of the origin of the trademarked services or goods to the consumer or end-user. It enables the consumer to distinguish the trademarked goods or services from others that have another origin without any confusion.

Under the Trademarks Act, 1999, a trademark must be distinctive to fulfil its identification of origin function. When the trademark is distinctive, it is granted registration and protection under the trademarks law in India. The Registrar of Trademarks can refuse the trademark registration when the mark is not distinctive, and thus, the trademark will fail to perform its function of identifying the source. Trademarks get legal protection under the Trademarks Act, thus making it difficult for third parties to imitate or copy the product.

The Trademarks Act also safeguards the trademark since it prohibits any identical or similar use of the trademark by its competitors in the market, who may take advantage of the reputation and position of the trademark.

For example: The trademark 'Brooke Bond' identifies tea originating from a company manufacturing tea and marketing it under that trademark.

Quality Function

A trademark ensures customers of the quality of the trademarked products or services. Customers select goods or services known for their quality. Thus, trademarks help the customers decide the products they need to purchase or the service they need to avail of. Reputation and identification of quality are the key features of trademarks.

Customers often use trademarks to identify and choose products or services with quality. When a customer has a good experience with a trademarked product, he/she will prefer to use the same product having the same trademark. A customer will re-purchase a product again as he/she will believe the trademarked product will have the same high quality that it had when it was purchased previously.

For example: The quality of tea sold in the packs trademarked as 'Brooke Bond' would be similar, but they would be different from tea labelled with the trademark 'Taj Mahal'.

Advertising Function

The trademark represents a product or service. Another significant function of trademarks is promoting products and services, thus providing an effective mode of advertising them. The intention of the use of trademarks is to make consumers aware of the trademark and attract their attention to the trademarked products or services. Customers can be attracted through advertisements, which reinforce the image of a product or service.

For example: The trademark of 'Sony' is associated with electronic items. Thus, customers associate the trademark 'Sony' with a particular quality of a particular class of goods. It advertises the product while distinguishing them from the products of Sony's competitors.

Creation of Image Function

Trademarks create an image of the product or service they are associated with. Trademarks essentially function to create goodwill for the company. The goodwill embodied in a trademark constitutes a company's intellectual property or asset. The prolonged usage of a trademark associated with a particular business helps the business gain reputation and goodwill regarding its particular trademark.

In due course of time, the general public gains the knowledge and is aware of the trade name or brand name and associates the particular trademark with the specific services or goods. Thus, trademarks gain reputation and goodwill, which eventually expands to a larger area making the trademarks known globally.

For example: The mark 'M' which represents the food items originating from the American fast-food chain 'McDonalds', creates a reputation and image for food items offered by it for sale in the market.

TYPES OF MARKS

There are four different types of marks. They are: 1. Trademark 2. Service mark 3. Certification mark 4. Collective mark

1. Trademark: - The term trademark thus refers to some physical and tangible good and service mark refers to an intangible service, in common usage the term trademark is often used to refer to marks for both goods and service. The key point in this legal description is that a trademark is a visual mark that may use any combination of letters and imagery to aid a company in differentiating itself from other entities.

2. Service mark: - A service mark is the same as a trademark, but instead of a particular product, it identifies and differentiates the source of a service. A service mark is nothing but a mark that distinguishes the services of one proprietor/owner from that of another. Service marks do not represent goods, but the services offered by the company.

3. Certification mark: - A certification mark is a word, name, symbol, device, or combination thereof used by one person to certify that the goods or services of others have certain features in regard to quality material mode of manufacture or some other characteristic (or that the work done on the goods or services was performed by members of a union or other organization). For example: Hallmark, ISO mark and in U.S Under writers Laboratory seals of approval (Underwriters Laboratory is the large stand best known independent, not for profit testing laboratory in the world based in Northwood, Illinois, UL conducts safety and quality tests on abroad range of products, from fire door's to CCTV cameras seals of approval).

4. Collective Mark: - A collective mark is one used by a collective membership organization, such as a labor union, fraternity, or professional society, to identify that the person displaying the mark is a member of the organization. These are the trademarks used by a group of companies and can be protected by the group collectively. Collective marks are used to inform the public about a particular characteristic of the product for which the collective mark is used. The owner of such marks may be an association or public institution or it may be cooperative. Collective marks are also used to promote particular products which have certain characteristics specific to the producer in a given field. Thus, a collective trademark can be used by a more than one trader, provided that the trader belongs to the association.

Selecting & Evaluation of trademark

A trademark must be chosen carefully. If you are launching a product and adopting a new trademark, please bear in mind that the scope of legal protection you would obtain depends on the type of trademark chosen.

The most common mistake is to choose a word that is descriptive of the goods or services. People do this in the belief that the consumer will know straight away what the product is or the service rendered. The same result can easily be obtained by combining a distinctive and fanciful trademark with a word which indicates the goods or services. E.g. Kodak film.

Descriptive trademarks are difficult to register and enforce. Although it may be easier to market such products at inception, such trademarks are offered the least amount of protection and therefore, in the long term, it would be difficult to stop your competitors from using the same or similar trademarks.

A better strategy would be to adopt a ***coined word***, which has no reference to the goods/services upon which it is used. E.g. Canon

Another option is to adopt an ***arbitrary word***, which has no relevance to the goods/services upon which it is used. E.g. Apple computers; Lotus software

The more distinctive a trademark is, the broader will be the available scope of protection.

GUIDELINES TO BE FOLLOWED:

- **AVOID** Superlative or Laudatory words E.g. Premium, Gold, Deluxe
- **AVOID** Descriptive words E.g. Coffee shop for coffee bars; Cooler for Refrigerators
- **AVOID** trademarks Confusing Similar to existing trademarks
- **AVOID** words which have direct reference to the Character or Quality of the product/service. E.g. Best Choice, Easy Cook, Super
- **AVOID** Common Personal Names or surnames. Such names are registrable only if it has acquired distinctiveness through advertisements and long use

Well known geographical names such as SWISS chocolates or U.S.A. pizza are also not registrable.

There are also other factors to be considered in the adoption of trademarks, which is beyond the scope of this text.

Evaluation of Trade marks

Trademarks are not only used to provide legal protection to a company's name, design, word, etc. rather are intangible assets. Evaluating the exact value of the trademark is challenging.

Till a decade or two ago, no one used to evaluate the value of their intangible assets of the company.

However now, brands create the reputation of a product; motivates the purchasing power; and makes the product different from other generic products. In fact, almost every brand fetches a good amount of value. But evaluating the exact value of the trademark is a big challenge, and one must know the correct way to evaluate it.

Valuating intangible assets of your company like trademark or patent is a complex task which can turn your head upside down, and thus makes the selling transaction adversative.

But the need to evaluate a brand is essential for many business activities, like a merger or acquisition; sale or purchase of the trademark or if you want to sell your company.

The first step in evaluating the trademark is to examine the historical prospects of the trademark like the total cost invested in it; profit margin associated with the products and the time it was first used, etc

The Income Approach

The most crucial element on which a trademark's value is determined is the income generating power of the business. The more the earning power, the higher the value of the brand would be.

Through future estimates of economic benefit, cash flows and risks involved, and converting this analysis into simple information; the income approach enables you to evaluate your company trademark.

Market Approach

In this method, the price of similar marks is considered and compared. It uses market-based indicators of value and takes similar marks into account; it analyses royalty rates and transaction prices to determine what the market is paying for similar intangible assets.

In this approach, market trends are considered, and other transactions are analysed.

Cost Approach

Cost approach considers the implicit as well as explicit cost incurred in creating the Trademark. Cost approach also covers the cost accrued in promoting the company and its brand promotion.

A particular focus on forecasts of market transactions is employed and estimated time and cost that would be required to make a similar trademark are considered.

Other Factors

Along with the ones listed above, there are other factors which a company should consider while evaluating a trademark or trademarks and to maximize their values:

- Qualitative and quantitative characteristics of the trademark.
- If there is any contract assigned or associated with the trademark.
- Sustainability of the trademark in the market in future.
- Market position a trademark holds in the current business.
- The capital structure of the company and its modifications according to the needs.

Trademark carries a significant value in the business, and a company should evaluate its brand and know the exact value of their intangible assets. A company should work towards the goal of enhancing the value of trademark and other intangible assets for long-term profits.

Trade Marks Acquisition

In today's business world, mergers and acquisitions are common occurrences as companies seek to expand and increase their market share. During a merger or acquisition, one of the important factors that need to be considered is the transfer of intellectual property rights, including trademarks. Trademarks are valuable assets that are used to protect a company's brand identity, and their transfer requires careful consideration to ensure they are not lost or diluted in the

process. This article explores what happens to trademarks in a merger or acquisition and the steps that need to be taken to protect them.

What Happens to Trademarks During Mergers or Acquisitions?

In a merger or acquisition, the ownership of trademarks can be transferred in a few different ways. The most common methods are assignment, licensing, and merger.

Assignment: Assignment includes the transfer of ownership of the trademark from one party to another. In this scenario, the acquiring company becomes the new owner of the trademark and assumes all rights and responsibilities associated with it.

Licensing: Licensing involves the granting of permission to use a trademark by the trademark owner to the acquiring company. The acquiring company would be allowed to use the trademark in accordance with the licensing agreement, but ownership would remain with the original trademark owner.

Merger: Merger involves the combination of two companies to form a new legal entity. In this case, the trademarks owned by the merged companies would be consolidated into the new entity, and ownership of the trademarks would transfer to the new company.

In any of these scenarios, it is essential to ensure that the transfer of the trademark is properly documented and registered with the relevant authorities to ensure legal protection.

What are the steps to protect trademarks in a merger or acquisition?

When going through a merger or acquisition, it is crucial to take steps to protect trademarks to avoid potential legal disputes or loss of brand identity. The following steps should be taken

Conduct a Trademark Audit

Before the merger or acquisition, it is essential to conduct a trademark audit to identify all trademarks owned by the companies involved. The audit should include an analysis of the trademarks' legal status, including their registration and use, to ensure that they are not at risk of being challenged or invalidated.

Determine Ownership

It is important to determine the ownership of the trademarks to be transferred. In cases where there is joint ownership, it is necessary to establish how the ownership rights will be divided and transferred.

Identify Potential Conflicts

It is crucial to identify potential conflicts with existing trademarks or pending applications to avoid legal disputes or infringement claims. If conflicts are identified, it may be necessary to take steps to resolve them, such as rebranding or obtaining consent from the trademark owner.

Consider International Trademark Protection

If the merger or acquisition involves companies with a global presence, it may be necessary to consider international trademark protection. This may involve registering trademarks in foreign countries or taking steps to protect trademarks under international treaties and agreements.

Trademark Registration

Trademark registration in India protects a brand's unique identity. The Controller General of Patents, Designs, and Trademarks oversees this. It covers a company's logo, tagline, or name. The process includes applying to the Trademarks Registry, checking uniqueness, and publishing in the Trademarks Journal. If unopposed, the trademark is registered. This gives ten years of protection, which can be renewed. This secures the brand's value and recognition.

What Can You Register As a Trademark?

In India, you can register diverse items as trademarks. They can include brand names, logos, words, slogans, sounds, smells, colors, or any unique sign. These trademarks should distinguish your goods or services from others. This helps maintain your business identity and protect it from misuse.

Why Is Trademark Registration Important?

Trademark registration in India is crucial as it protects your brand and prevents others from using similar signs. It gives you legal rights to your brand, boosts your brand's value, and assures customers about the quality of your products or services. It also helps in brand recognition and trust-building among customers.

Trademark Classes

There are 45 trademark classes and all the goods and services are categorised across these classes. You need to be very careful while picking the classes as it will determine the validity of your **trademark registration** for your business' products/services. If your business operates across different goods/services that fall under different classes, you have to ensure that you can apply for a trademark online under all the applicable classes.

Some of the popular trademark classes in India are:

- **Class 9:** which includes computer software and electronics,
- **Class 25:** which includes clothing,
- **Class 35:** which includes business management and advertising, and
- **Class 41:** which includes education and entertainment.

If you are operating within these trademark classes, the competition for a trademark might be higher. However, that shouldn't matter as long as your mark is unique.

How to Register Trademark in India

The online trademark registration process is more complicated than it appears. It involves a number of processes and government follow-up.

Step 1: Trademark Search

Once you give us the basic information about what you want to apply trademark online and the industry you operate in, our experts will do a thorough search across the trademark database. This is to check whether the mark you want to register is available or not.

Once you decide on an available trademark, we move to step 2.

Step 2: Class Selection and Document Collection

The next task is to select the appropriate class(es) for your business. You need not worry too much though. Our experts will guide you in selecting the right classes to cover all aspects of your business. Simultaneously, you can start uploading all the required documents (list given below) to apply trademark online in your dashboard.

Step 3: Trademark Application Filing

Once you upload all the documents, our team will proceed to verify them. Then the trademark application form will be filled on your behalf and submitted along with the documents. Our team will ensure that your application is accurate and error-free.

We will keep you updated throughout the process and watch out for any notifications from the Trademark Registry until the registration is complete.

Congratulations! You can now start using the symbol TM as the application has been submitted!

Step 4: Trademark Objection (in some cases)

Sometimes the examiner might have some questions about your application. This is sent to you as a trademark objection notice and you need to respond to it within 30 days. Our experts can craft a strong objection response and guide you in submitting the right documents and proofs.

Step 5: Trademark Opposition (in some cases)

There is also a chance for a third party to oppose your application. In that case, you have to submit a counter-statement to the Registrar within 2 months stating why the opposition isn't valid. Based on your response the Registrar may either dismiss the opposition or call for a hearing.

Trademark Objections

In some cases, the trademark examiner might see certain problems or issues with the registration of a trademark. These issues can be either the filing of an incorrect trademark application form

online, incorrect name/details, the usage of deceptive or offensive terms, insufficient information on goods or services, or the existence of an identical or deceptively similar mark.

When an objection is raised, the status on the register will show as 'Objected', following which an expertly drafted response will need to be filed after an analysis of the objection itself and with any supporting documents and proofs. Objection response is your opportunity to strengthen the claim over your mark and create urgency.

If the response is accepted, the application will be processed further for brand registration and advertisement in the Trademark Journal. If it is not accepted, or if there are additional clarifications sought by the examiner, there could be a trademark hearing scheduled and this will be communicated to you by a notice.

The process typically takes 2-4 months from when the objection is first raised. Once completed, the chances for approval, while not guaranteed, are much higher.

Trademark Opposition

On the other hand, A trademark opposition is a legal proceeding in which one party attempts to put a stop to a trademark application from being granted. A trademark opposition is filed by third parties who feel your trademark could in some way impact them or their own trademark, in writing, in the form of a notice, with the trademark examiner. If the examiner sees any merit to the opposition, they are to forward the notice to the applicant, who is required to send in a counter statement to the Registrar within 2 months.

If the Registrar feels the counter statement addresses the opposition substantially, they may dismiss the opposition. Alternatively, if the registrar feels there is more to be weighed, they may call for a hearing with both parties appearing before them and presenting their cases. After the hearing, the Registrar will rule on the validity of either the application or the opposition. This ruling can be appealed before the Intellectual Property Appellate Board within 3 months of it being made public.

Documents Required for Trademark Registration Online India

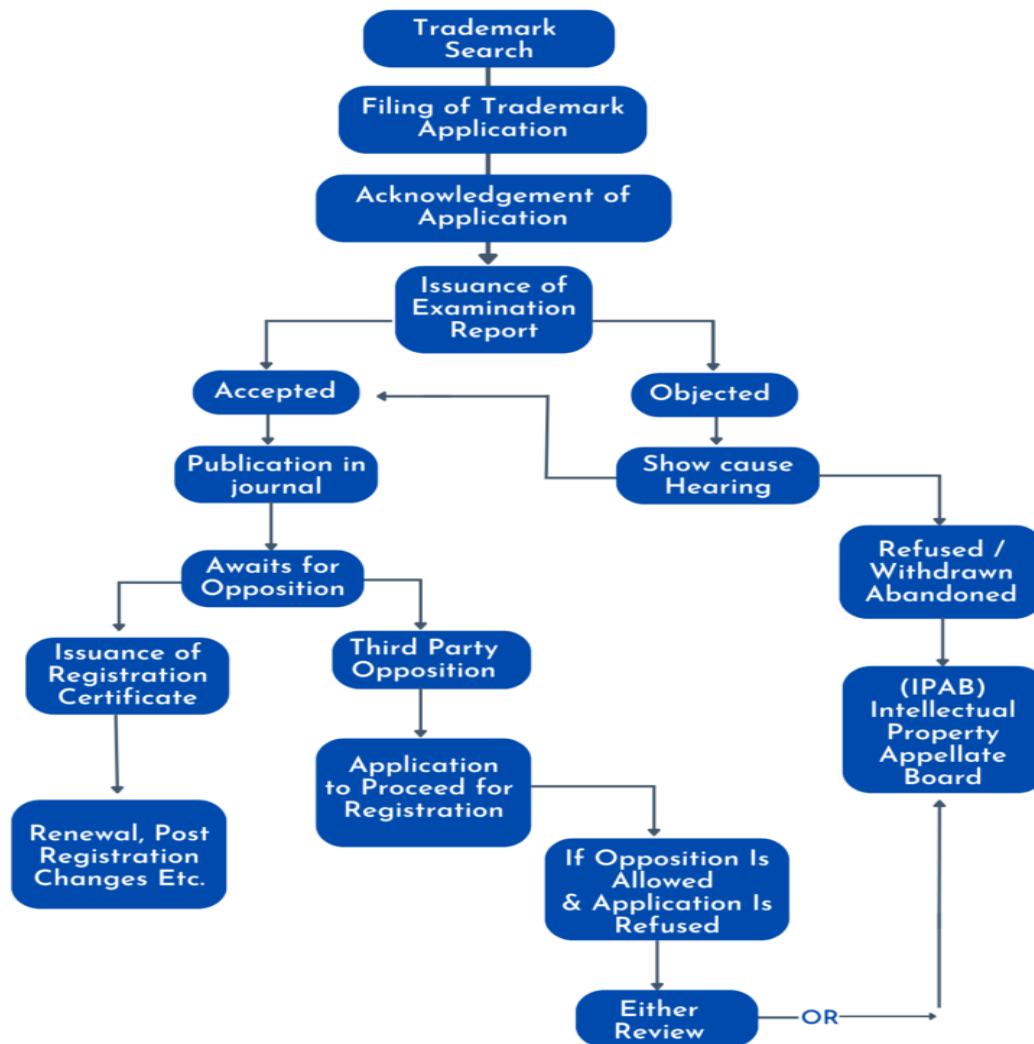
Initially, you have to provide us with the following details:

- Applicant's name
- Business type
- Business objectives
- Brand/logo/slogan name
- Registration address

The documents required are:

- Signed Form-48
- Identification proof of the signatory
- Address proof of the signatory
- Business proof (depends on the type of business)
- Udyog Aadhar/MSME registration certificate (optional).

Flow Chart of Trade mark Registration Process



Duration of Trademark

The duration of trademark registration is ten year that may be renewed for a further period of ten years on payment of prescribed renewal fees.

What Cannot Be Registered As Trademark In India?

Trademarks in India are registered under the Trademarks Act, 1999 (“Act”). An application is filed to the Registrar of Trademarks (“Registrar”) for registration. The Registrar may accept the

application and proceed to register the trademark. He can also reject the application if he finds any fault in it.

The Act also provides a list of trademarks which cannot be registered.

Absolute Grounds For Refusal of Registration

Section 9 of the Act lists down the absolute grounds for refusal of registration. If any trademark comes under the grounds listed in this section, it cannot be registered. The absolute grounds for refusing registration are –

- Trademarks which do not possess any distinctive character. Distinctive character means trademarks which are not capable of distinguishing the goods or services of one person from those of another.
- Trademarks which exclusively contain marks or indications which serve in trade to define the kind, quality, quantity, intended purpose, values or geographical origin of goods or services rendered.
- Trademarks which exclusively contain marks or indications which have become customary in the current language or the established practices of the trade.
- Trademarks are of such a nature which deceives or cause confusion to the public.
- Trademarks which contain or comprise matter likely to hurt the religious susceptibilities of any class or sections of citizens of India.
- Trademarks which contain or comprise scandalous or obscene matter.
- If the usage of the trademark is prohibited under the Emblems and Names (Prevention of Improper Use) Act, 1950.
- Trademarks which consist of marks of the shape of goods which result from the nature of goods themselves.

- Trademarks which consist of marks of the shape of goods which is necessary to obtain a technical result.
- Trademarks which consist of marks of the shape which gives substantial value to the goods.

The Act provides for an exception with regard to the first three points, i.e. where the trademarks lack distinctiveness or which contain exclusive marks which serve in the trade to define kind, quality etc. or contains marks which have become customary in the trade practices.

The exception is that the trademarks that come under the first three points shall not be refused registration if the trademark has acquired a distinctive character as a result of the use or is a well-known trademark before applying for registration.

Relative Grounds For Refusal Of Registration

Section 11 of the Act provides relative grounds for refusal of registration. This section provides exceptions to the grounds of refusal. If the exceptions are complied with, then the trademarks under section 11 can be registered. Section 11(1) states the following grounds for refusal –

- Trademarks which confuse the public as it is identical with an earlier similar trademark of goods or services.
- Trademarks which confuse the public as it is similar with an earlier identical trademark of goods or services.

An exception to this section is if there is an honest concurrent use of the trademark, the Registrar of Trademarks may allow the registration. Section 11(2) states the following grounds for refusal –

- Trademarks which would take unfair advantage of a similar or identical earlier well-known trademark in India.

- Trademarks which would be detrimental to the distinctive character or repute of a similar or identical earlier well-known trademark in India.

Section 11(3) states the following grounds for refusal –

- The usage of the trademark is bound to be prevented by the law of passing off protecting an unregistered trademark used in the course of trade.
- The usage of the trademark is bound to be prevented by the law of copyright.

The trademarks mentioned in Section 11(2) and 11(3) shall not be refused registration unless an objection is raised in opposition proceedings by the proprietor of the earlier trademark. Section 11(4) provides an exception to all the grounds mentioned above. It states that the trademarks that fall under Section 11 can be registered if the proprietor of the earlier trademark consents to the registration. If the proprietor of the earlier well-known trademark gives his consent to register the latter trademark, the Registrar can register it.

Names Which Cannot Be Registered

Section 13 and 14 of the Act provides that trademarks containing specific names cannot be registered. Trademarks which have a word that is commonly used of any single chemical element or chemical compound in relation to a chemical substance or preparation cannot be registered.

Trademarks which falsely suggest a connection with any living person can be declined registration by the Registrar unless the consent of such living person is obtained. Similarly, trademarks which falsely suggest a connection with any dead person within twenty years of submitting the application for registration can be declined by the Registrar unless the consent of legal representatives of such person is obtained.

Illustrations of Refusal of Registration

A few illustrations of the words which were rejected registration on the basis of the above grounds are given below –

- Words like ‘Himalayan’ or ‘Shimla’ were rejected registration as they indicate geographic origin.
- Words like ‘Janta’ or ‘Rasoi’ were not registered as they were common expressions.
- The word ‘Saffo’ was not registered for cleaning power and liquid as being too close to the word ‘Saff’ meaning clean. This word indicated the character of the goods.
- The word ‘Ombrella’ for shower baths curtains was not registered as it was descriptive of umbrella-like shower bath curtains.
- The word ‘Heavenly’ for cosmetics was not registered as it is a word which is in common use.
- The word ‘Electrix’ for electric vacuum cleaners was rejected registration on the ground of it being similar to the common term ‘Electric’.
- A mark consisting of representation of parts of chain wheel and chain and a blank space was refused registration on the ground of chains and chain wheels as being not distinctive.

Advantages of Trademark Registration

Exclusive Usage Rights: - One of the significant benefits of trademark registration is that it grants exclusive rights over the trademark. The trademark owner can apply the same for all the products or goods falling under the classes for which it is registered. The trademark registration provides the exclusive right to take legal action against third parties who use a similar or identical mark without authorized permission for their products.

Builds Goodwill: - The other benefits of trademark registration is that it helps to establish goodwill and trust in a brand. The goodwill of the brand increases when it becomes popular amongst customers. It helps to create regular loyal customers who recognize products or goods from its brand and opt for the same brand. A trademark having a good reputation and goodwill can also help obtain funds from financial institutions.

Differentiates Products and Services: - A trademark aims to distinguish goods and services from its competitors and create a brand identity. Trademark registration makes it easy to commercialize or market a product or service with a unique brand identity in line with the market requirements. The brand identity communicates the company's quality, vision and several other features of the products and establishes its uniqueness amongst customers.

Ensures Product Quality: - A trademark registration ensures the quality of the product or goods. Customers link the product's quality with the brand. It creates an image of the quality of a particular brand in the market which helps to attract new customers. Thus, customers buy goods with a popular trademark in the market.

Helps in the Creation of an Asset: - Trademark is an intellectual property of a company. Thus, a trademark is the asset of the company. A registered trademark provides its owner with the right to sell, assign, franchise or commercially use the trademark, providing a potential source of income.

Usage of ® Symbol: - When the trademark is registered, its owner can use the ® symbol on the logo. The ® symbol signifies to the third parties that the trademark is registered and cannot be used by them without authorized permission. It ensures that customers can be sure that the products or goods of the brand are original products of high quality.

Protection against Infringement: - When third parties use a registered trademark for their products or goods without the owner's permission, it amounts to infringement. It means that if a third party violates the registered trademark, the trademark owner has a right to take legal action against them for infringement. In a case of infringement, the court can order to stop the third party from using the

registered trademark and even give back the profits made by using such a trademark to the registered owner.

Protection for Ten Years: - A trademark registration is valid for ten years. Once it is registered, it cannot be used in an unauthorized way by a third party for ten years. Thus, it helps to protect the brand for ten years in a cost-effective manner. After ten years, the owner should apply for renewal of the trademark for ten more years.

Global Trademark Registration: - When a trademark is registered in India, it does not grant global registration. However, the Indian trademark registration can be used as a base for an international trademark application. When the trademark obtains international registration, i.e. registration in a foreign country, a third party cannot use the trademark in that foreign country and establishes its uniqueness and distinctiveness in the global market.

Attract Customers: - Customers generally choose popular trademarked products or goods. Popular trademarked products or goods have the customers' trust regarding the quality and source. It creates a positive image of the company. Thus, many customers are attracted, which helps in the growth of the business.

Trade Secrets

The type of information that must be kept confidential in order to retain its competitive advantage is generally called a "Trade Secret". A trade secret is any information that can be used in the operation of a business or other enterprise that is sufficiently valuable and secret to afford an actual or potential economic advantage over others. The trade secret constitute a recipe, a formula, a method of conducting business, a customer list, a price list, marketing plans, financial projection and a list of targets for a potential acquisition.

What qualifies as a trade secret?

In general, to qualify as a trade secret, the information must be:

- ***commercially valuable*** because it is secret,
- be known only to a ***limited group of persons***, and
- be subject to ***reasonable steps taken*** by the rightful holder of the information to keep it secret, including the use of confidentiality agreements for business partners and employees.

DETERMINATION OF TRADE SECRET STATUS:

Restatement of Torts (a wrongful act or an infringement of a right) §757 cmt.b lists six factors to be considered in determining whether information qualifies as a trade secret. Courts routinely examine these factors to determine whether a company's information constitutes a trade secret.

The extent to which the information is known outside the company:

Although information may be known to other outside the company and still qualify as a trade secret, the greater the number of people who know the information, the less likely it is to qualify as a trade secret. Secrecy need not be absolute.

The extent to which the information is known within the company:

Although an employer or company is permitted to disclose confidential information with a demonstrated "need to know" the information. If the information is widely known within the company, especially among those who have no business need to know the information, it may not qualify as a trade secret.

The extent of the measures taken by the company to maintain the secrecy of the information:

- One claiming trade secret protection must take reasonable precautions to protect the information.
- Courts are unlikely to protect information a company has not bothered to protect.
- A company is not obligated to undertake extreme efforts to protect information, but reasonable precautions are required.
- Some experts predict that courts will likely require advanced security measures to protect trade secrets transmitted via e-mail, including encryption and protocols to ensure confidentiality.

The extent of the value of the information to the company and its competitors:

- If information has little value either to its owner or to the owner's competitors, it is less likely to qualify as a trade secret.
- Conversely, information that is valuable to a company, such as the recipe for its key menu product, and that would be of great value to the company's competitors is more likely to be protectable trade secret.

The extent of the expenditure of time, effort, and money by the company in developing the information:

- The greater the amount of time, effort, and money the company has expended in developing or acquiring the information, the more likely it is to be held to be a protectable trade secret.

The extent of the ease or difficult with which the information could be acquired or duplicated by other:

- If information is easy to acquire or duplicate, it is less likely to qualify a trade secret.
- Similarly if the information is readily ascertainable from observation or can be easily reproduced, it is less likely to be a trade secret.
- On the other hand, if it can be reverse engineered only with significant expenditures of time, effort, and money, the product may retain its status as a trade secret.

LIABILITY FOR MISAPPROPRIATION OF TRADE SECRETS:

Misappropriation of a trade secret occurs when a person possesses, discloses, or uses a trade secret owned by another without express or implied consent and when the person

- used improper means to gain knowledge of the trade secret;
- knew or should have known that the trade secret was acquired by improper means; or

- Knew or should have known that the trade secret was acquired under circumstances giving rise to a duty to maintain its secrecy.

The term *improper* means includes bribery, theft, and misrepresentation, breach of duty to maintain secrecy, or espionage (the practice of spying or of using spies, typically by governments to obtain political and military information) or other means.

Thus, misappropriation occurs either when a trade secret is lawfully acquired but then improperly used or when the trade secret is acquired by improper means.

Absence of Written Agreement:

- A written agreement prohibiting misappropriation of trade secrets can be enforced through an action for breach of contract; a company's trade secrets can be protected against misappropriation even in the absence of any written agreement between the parties.
- A party owning trade secrets can bring an action in tort for breach of the duty of confidentiality, which duty can arise even without an express agreement.
- Courts will impose a duty of confidentiality when parties stand in a special relationship with each other, such as an agent- principal relationship (which includes employer-employee relationship) or other fiduciary (involving trust, especially with regard to the relationship between a trustee and a beneficiary) or good faith relationship
- Courts have consistently held that employees owe a duty of loyalty, fidelity, and responsibility to their employers.
- In fact, more trade secret cases are brought in tort for breach of confidentiality than in contract for breach of written agreements.

REMEDIES FOR MISAPPROPRIATION:

A trade secret owner may request a variety of remedies from a court. Among them are the following:

- **Injective relief:** In many cases, a trade secret owner is more interested in ensuring the defendant cease use of the trade secret (or is precluded from commencing use) than in recovering damages. In cases in which money damages are not sufficient to protect a trade secret owner, a court may issue an injunction. A court may also issue an injunction to compel the defendant to surrender or destroy trade secret information. In fact, courts may issue injunctions' to prevent inevitable disclosure, reasoning that even if a former employer cannot show a particular secret has been taken, it is inevitable that key employees will eventually disclose what they know to a new employer.

- **Money damages:** A trade secret owner whose information has been misappropriated may recover money damages from the defendant. The Plaintiff may recover its lost profits as well as the profits made by the defendant. Alternatively, the plaintiff may seek and recover a reasonable royalty arising from defendant's use of the trade secret. Punitive damages may also be awarded in cases in which the defendant's conduct is reckless, willful, and intentional. The UTSA provides that punitive damages not exceed more than twice the compensatory damages awarded.

- **Attorneys' fees and costs:** In most cases, the parties bear their own attorneys' fees and costs. The UTSA, however, provides that reasonable attorneys' fees and costs may be awarded to the prevailing party if bad faith or willfulness is shown.

TRADE SECRET LITIGATION:

- If a trade secret is disclosed in violation of a written confidentiality agreement, and the parties cannot resolve the dispute themselves, an action for breach of contract may be brought, similar to any other breach of contract action.
- The plaintiff may add other causes of action as well, for example, for misappropriation in violation of a state trade secret law. If no written agreement exists, the plaintiff must rely upon case law or state statutes protecting trade secrets, or both.
- To protect itself against a lawsuit by another alleging trade secret violation, companies should require new employees who will have access to confidential information to acknowledge in writing that accepting employment with the new company does not violate any other agreement or violate any other obligation of confidentiality to which the employee may be subject.
- If grounds for federal jurisdiction exist (the parties have diverse citizenship and the claim exceeds \$75000), the action may be brought in federal court.
- The UTSA [Uniform Trade Secrets Act] provides that an action for misappropriation must be brought within three years after misappropriation is discovered or reasonably should have been discovered.
- In federal court, the action will be governed by the Federal Rules of Civil Procedure relating to federal civil actions generally.
- If the defendant has a cause of action to assert against the plaintiff relating to the trade secret, it must be asserted by way of a counterclaim in the litigation so that all disputes between the parties relating to the information can be resolved at the same time.
- After the complaint, answer, and counterclaim have been filed, various motions may be made. Discovery will commence. The plaintiff and defendant will take depositions to obtain testimony from those who may have information about the case.
- Ultimately, if the matter cannot be resolved by private agreement, it will proceed to trial. The trade secret owner must prove misappropriation by a preponderance of the evidence. Either party may request a jury trial; otherwise, a judge will render the decision. Appeals may follow.
- One of the difficult issues in trade secret litigation arises from the fact that the trade secret sought to be protected often must be disclosed in the litigation so the judge or jury can evaluate whether the information is sufficiently valuable that it affords its owner a competitive advantage.
- Similarly, the owner's methods of protecting the information often must be disclosed so the fact-finder can determine whether the owner has taken reasonable measures to protect the alleged trade secrets.
- The dilemma faced by trade secrets owner is that they must disclose the very information they seek to protect.
- As technology progresses and the value of certain communication and entertainment inventions increases, trade secret litigation is becoming an increasingly common and high-stakes occupation.

TRADE SECRET PROTECTION PROGRAMS:

Trade secrets are legally fragile and may be lost by inadvertent disclosure or failure to reasonably protect them, companies should implement trade secret protection programs to safeguard valuable

information. Because trade secret protection can last indefinitely, businesses should devote proper attention to the methods used to ensure confidentiality of information. Developing programs and measure to protect trade secrets is an easy way to demonstrate to a court that an owner values its information and takes appropriate measures to maintain its secrecy.

Physical protection

There are a variety of tangible measures a company can implement to protect trade secrets, including the following:

- Safeguarding information under lock and key;
- Protecting the information from unauthorized access;
- Forbidding removal of protected information from the company premises or certain rooms;
- Retaining adequate security during evening and weekends either through alarm systems or security services;
- Ensuring tours of the company premises do not expose outsiders to valuable processes or information;
- Using check-out lists when valuable equipment or information is removed from its normal location;
- Monitoring employees' use of e-mail and the Internet to ensure confidential information is not being disseminated;
- Using encryption technology and antivirus protection programs to protect information stored on computers;
- Educate employees on trade secrets and protection of trade secrets; • Ensuring information retained on computers is available only on company networks so that access can be easily tracked.

Contractual Protection

- Another method of protecting trade secrets is by contract, namely, requiring those with access to the information to agree in writing not to disclose the information to other or use it to the owner's detriment.
- Similarly, in licensing arrangements, trade secret owners should ensure the license agreements contain sufficient protection for trade secret information.
- Employers should use noncompetition agreements to ensure former employees do not use material gained on the job to later compete against the employer.
- With the advent of the Internet and the increased ease of electronic communications, employers have become concerned about the loss of trade secrets through dissemination over

the Internet.

- It has been held that “once a trade secret is posted on the Internet, it is effectively part of the public domain, impossible to retrieve”.

Unfair Competition

- The law of **Unfair Competition** is to safeguard the interest of the customers from unfair / misleading trade practices.
- **Unfair Competition** is a broad term covering a wide variety of deceptive practices in the marketplace.
- The law of unfair competition continues to evolve with changes in the marketplace so that deceptive infomercials and false advertising on the Internet can be prohibited.

The most commonly alleged forms of unfair competition are:

- **Passing off** (selling one’s goods as those of another)
- **Misappropriation** (the taking of another’s intangible commercial property right)
- **Infringement of the right of publicity** (appropriating another’s identity or persona for commercial purposes)
- **False advertising** (making false or deceptive representations about the nature of one’s own goods or services)
- **Product disparagement** (making false or deceptive representations about another’s goods or services)
- **Dilution** (use of a mark that is likely to cause blurring or tarnishment of another’s famous trademark or service mark)
- **Infringement of trade dress** (causing likelihood of confusion with the distinctive product image or overall design or appearance of another’s product or service)

UNIT-III:

Copyright and Patent

Copyright:

In ancient days creative persons like artists, musicians and writers made, composed or wrote their works for fame and recognition rather than to earn a living, thus, the question of copyright never arose. The importance of copyright was recognized only after the invention of printing press which enabled the reproduction of books in large quantity practicable.

Definition of Copyright:-

Copyright is a right of use given by the law to the creator of literary, dramatic, musical, artistic work, software etc. for a limited period of time

In India all the law related to copyright is regulated by the copyright Act 1957. Its latest amendment was brought in 2012 A copyright is an exclusionary right.

It conveys to its owner the right to prevent others from copying, selling, performing, displaying, or making derivative versions of a work of authorship.

Exclusive copyright rights: -

The entire bundle of rights that a copyright owner is exclusively entitled to exercise under the copyright laws.

These rights consists of:

- Right to reproduce (copy) the work
- Right to prepare derivative works
- Right to distribute copies of the work
- Right to perform the work, and
- Right to display the work

Copyright Act, 1957:-

Copyright Act refers to laws that regulate the use of the work of a creator, such as an artist or author. This includes copying, distributing, altering and displaying creative, literary and other types of work. Unless otherwise stated in a contract, the author or creator of a work retains the copyright. Copyright does not ordinarily protect titles by themselves or names, short word combinations, slogans, short phrases, methods, plots or factual information.

Need for Copyright:-

- It gives you the exclusive right to reproduce or copy the work or change its form.
- Registration informs the world that you own the work
- If you succeed in an infringement suit, you are entitled to money damages.

Indian perspective on Copyright Protection:

The Copyright Act, 1957 provides copyright protection in India. It confers copyright protection in the following two forms:

(a) Economic rights of the author

(b) Moral Rights of the author (i) Right of Paternity (ii) Right of Integrity

Term of Copyright:-

It varies according to the nature of work - 60 years, in India.

- Literary, dramatic, musical or artistic work (other than a photograph), when published during the lifetime of the author, copyright subsists during the lifetime of the author, plus 60 years.
- In the case of photographs, cinematograph films and sounds recordings; the term is 60 years from the date of publication.
- When the first owner of copyright is the government or a public undertaking, the term of copyright is 60 years from the date of publication.

Fundamentals of Copyright:-

Copyright is a right given by the law to creators of literary, dramatic, musical and artistic works and producers of cinematograph films and sound recordings. In fact, it is a bundle of rights including, inter alia, rights of reproduction, communication to the public, adaptation and translation of the work. It means the sole right to produce or reproduce the work or any substantial part thereof in any material form whatsoever (Kartar Singh Giani v. Ladha Singh & Others AIR 1934 Lah 777). Section 14 of the Act defines the term Copyright as to mean the exclusive right to do or authorize the doing of the following acts in respect of a work or any substantial part thereof, namely

In the case of literary, dramatic or musical work (except computer programme):

- (i) reproducing the work in any material form which includes storing of it in any medium by electronic means;
- (ii) issuing copies of the work to the public which are not already in circulation;
- (iii) performing the work in public or communicating it to the public;
- (iv) making any cinematograph film or sound recording in respect of the work;
- (v) making any translation or adaptation of the work. Further any of the above mentioned acts in relation to work can be done in the case of translation or adaptation of the work.

In the case of a computer programme:

- (i) to do any of the acts specified in respect of a literary, dramatic or musical work; and
- (ii) to sell or give on commercial rental or offer for sale or for commercial rental any copy of the computer programme. However, such commercial rental does not apply in respect of computer programmes where the programme itself is not the essential object of the rental.

In the case of an artistic work:

- (i) reproducing the work in any material form including depiction in three dimensions of a two dimensional work or in two dimensions of a three dimensional work;
- (ii) communicating the work to the public;

- (iii) issuing copies of work to the public which are not already in existence;
- (iv) including work in any cinematograph film; making adaptation of the work, and to do any of the above acts in relation to an adaptation of the work.

In the case of cinematograph film and sound recording:

- (i) making a copy of the film including a photograph of any image or making any other sound recording embodying it;
- (ii) selling or giving on hire or offer for sale or hire any copy of the film/sound recording even if such copy has been sold or given on hire on earlier occasions; and
- (iii) communicating the film/sound recording to the public.

In the case of a sound recording:

- (i) to make any other sound recording embodying it;
- (ii) to sell or give on hire, or offer for sale or hire, any copy of the sound recording;
- (iii) to communicate the sound recording to the public.

Originality of Material:-

There are three basic requirements for copyright ability:

- ✓ A work must be original
- ✓ A work must be fixed in a tangible form of expression; and
- ✓ A work must be a work of authorship

To be eligible for copyright protection, material must be original, meaning that it must have been independently created and must possess a modicum of creativity. The requirement of originality should not be confused with novelty, worthiness, or aesthetic appeal. The requirement is rather that the material must be an independent product of the author and not merely some copy or minimal variation of an existing work. A work can be original even if it is strikingly similar or identical to that of another. The Copyright Act only requires originality, meaning independent creation by the author.

Originality does not signify novelty; a work may be original even though it closely resembles other works so long as the similarity is fortuitous, not the result of copying.

To illustrate, assume that two poets, each ignorant of the other, compose identical poems. Neither work is novel, yet both are original, and, hence, copyrightable. "Originality" thus does not mean "first"; it merely means "independently created" rather than copied from other works.

Fixation of Material:-

The Copyright Act protects works of authorship that are "fixed in any tangible medium of expression." A work is "fixed" when it is embodied in a copy or phonorecord and is sufficiently permanent or stable to permit it to be perceived, reproduced, or communicated for a period of more than transitory duration.

There are thus two categories of tangible expression in which works can be fixed: "copies" and "phonorecords."

- ✓ A copy is a material object from which a work can be perceived, reproduced, or communicated, either directly by human perception or with the help of a machine.
- ✓ A phonorecord is a material object in which sounds are fixed and from which the sounds can be perceived, reproduced, or communicated either directly by human perception or with the help of a machine.

Works of Authorship: (17 U.S.C §102)

The copyright act provides that copyright protection subsists [support oneself] in original works of authorship fixed in any tangible medium of expression, now known or hereafter developed, from which they can be perceived, reproduced or otherwise communicated either directly or with the aid of a machine.

17 U.S.C. § 102. Section 102 then lists eight categories of protectable works. The list is preceded by the phrase that works of authorship “include” those categories, demonstrating that the listed categories are not the only types of works that can be protected, but are illustrative only

The eight enumerated categories are as follows:

1. Literary works,
2. Musical works (including accompanying words)
3. Dramatic works (including accompanying music)
4. Pantomimes and choreographic works
5. Pictorial, graphic, and sculptural works
6. Motion pictures and other audiovisual works
7. Sound recordings
8. Architectural works

Rights of Reproduction:

The most fundamental of the rights granted to copyright owners is the right to reproduce the work

- A violation of the copyright act occurs whether or not the violator profits by the reproduction
- Only the owner has the right to reproduce the work
- Secretly taping a concert, taking pictures at a performance, or recording all violate the owner's right to reproduce
- The suggestion of congress, in 1978 a group of authors, publishers and users established a not-for-profit entity called Copyright Clearance Center [CCC]
- CCC grants licenses to academic, government and corporate users to copy and distribute the works
- It collects royalty fees, which are distributed to the authors
- Companies that photocopy articles from journals and magazines often enter into licensing arrangements with the CCC so they can make copies.

Rights to prepare Derivative works:

- Section 106 of the copyright Act provides that the owner of a copyright has the exclusive right to prepare derivative works based upon the copyrighted work
- This right is often referred to as the right to adapt the original work
- “A derivative work is broadly defined as a work based upon one or more preexisting works, such as a translation, dramatization, fictionalized motion pictures version, abridgment condensation or any other form in which a work may be recast, transformed, or adapted.
- a work consisting of editorial revisions, annotations, elaborations, or other modifications is also a derivative work

Rights of distribution and the first sale doctrine:

- Section 106 (3) of the copyright act provides that the owner of a copyright has the exclusive right to distribute copies or phonorecords of the work to the public by sale or other transfer of ownership
- A violation of the distribution right can arise solely from the act of distribution itself
- The distributor did not make an unlawful copy or the copy being distributed was unauthorized
- Once the author has parted with ownership of copyrighted material, the new owner of a lawfully made copy can treat the object as his or her own
- The new owner has the right to lend the book or movie to a friend, resell the work at a garage sale, or even destroy it.
- The first sale doctrine does not apply to or limit the author’s exclusive rights to prepare derivative works or rights of public performance and
- Without permission of authorship the goods are not permitted to import into the U.S.

Rights to perform the work publicly:

- Section 106 [5] of the Copyright Act provided that in the case of all copyrighted works other than sound recording & works of architecture, the copyright owner has the exclusive right to display the work publicly.
- A display is “public” under the same circumstances in which a performance is “public”.

Namely if it occurs at a place open to the public (or) at a place where a substantial number of persons outside of the normal circle of a family

Copyright Ownership Issues [17U.S.C. §201(a)]:-

- Copyright in a work protected under the copyright activists [provide with power and authority] in the author or authors of the work
- Issues about ownership arise when more than one person creates a work
- Unless copyright has been explicitly conveyed with those physical articles, the original authors generally retain all other rights associated with the works.

Joint Works [intent to create a unitary whole]

- A joint work is a work prepared by two or more authors with the intention that their contributions be merged into inseparable or interdependent parts of a unitary whole.
- One copyright exists in the created works
- Joint authors are those who “mastermind” or “super mind” the creative effort.

Ownership Rights in Joint Works

- If individual are authors of a joint work, each owns an equal undivided interest in the copyright as a tenant in common, [each has the right to use the work, prepare derivative works, display it without seeking the other coauthor's permission].
- If profits arise out of such use, an accounting must be made so, that each author shares in the benefits or proceeds.
- The death of a coauthor, his or her rights pass to heirs who then own the rights in common with the other coauthor.

Ownership in Derivative or Collective Works

- The author of the original book has rights only to his or her work and cannot reproduce or perform the derivative work without permission.
- If a work such as a book is created by one person who intends it to be complete at the time and illustrations are later added to it by another, the work cannot be a joint work because there was no intention of the parties to create a unitary whole at the time of their creation.
- The author of the derivative work cannot create further works based on the original book without permission and cannot reproduce the original work without permission.
- Multiple ownership rights may also arise if separately copyrightable works are compiled into a collection.

Works Made for Hire

- The general rule is that the person who creates a work is the author of that work and the owner of the copyright therein, there is an exception to that principle: the copyright law defines a category of works called works made for hire.
- If a work is "made for hire", the author is considered to be the employer or commissioning party and not the employee or the actual person who created the work
- The employer or commissioning party may be a company or an individual.
- There are two types of works that are classified as works made for hire; works prepared by an employer within the scope of employment and certain categories of specially ordered or commissioned works.

Copyright Registration:-

- A work is "created" when it is fixed in a copy or phonorecord for the first time.
- Although not required to provide copyright protection for a work, registration of copyright with the Copyright Office is expensive, easy and provides several advantages, chiefly, that registration is a condition precedent for bringing an infringement suit for works of US origin.
- To register a work, the applicant must send the following three elements to the Copyright Office: a properly completed application form, a filing fee, and a deposit of the work being registered.
- Registration may be made at any time within the life of the copyright.

The Application for Copyright Registration:-

The following persons are entitled to submit an application for registration of copyright:

- the author (either the person who actually created the work or, if the work is one made for hire, the employer or commissioning party)
- the copyright claimant (either the author or a person or organization that has obtained ownership of all of the rights under the copyright originally belonging to the author, such as a transferee)
- the owner of exclusive right, such as the transferee of any of the exclusive rights of copyright ownership (for example, one who prepares a movie based on an earlier book may file an application for the newly created derivative work, the movie); and
- the duly authorized agent of the author, claimant, or owner of exclusive rights (such as an attorney, trustee, or any one authorized to act on behalf of such parties)

Application Forms

- The Copyright Office provides forms for application for copyright registration.
- Each form is one 8½ by 11” (inches) sheet, printed front and back.
- An applicant may use photocopies of forms
- The Copyright Office receives more than 6, 00,000 applications each year, each application must use a similar format to ease the burden of examination.
- The type of form used is dictated by the type of work that is the subject of copyright.

For example:

One form is used for literary works, while another is used for sound recording. Following are the forms used for copyright application.

Form TX (Literary works, essays, poetry, textbooks, reference works, catalogs, advertising copy, compilations of information, and computer programs)

Form PA (Pantomimes, choreographic works, operas, motion pictures and other audio visual works, musical compositions and songs)

Form VA (Puzzles, greeting cards, jewelry designs, maps, original prints, photographs, posters, sculptures, drawings, architectural plans and blueprints)

Form SR (Sound recording)

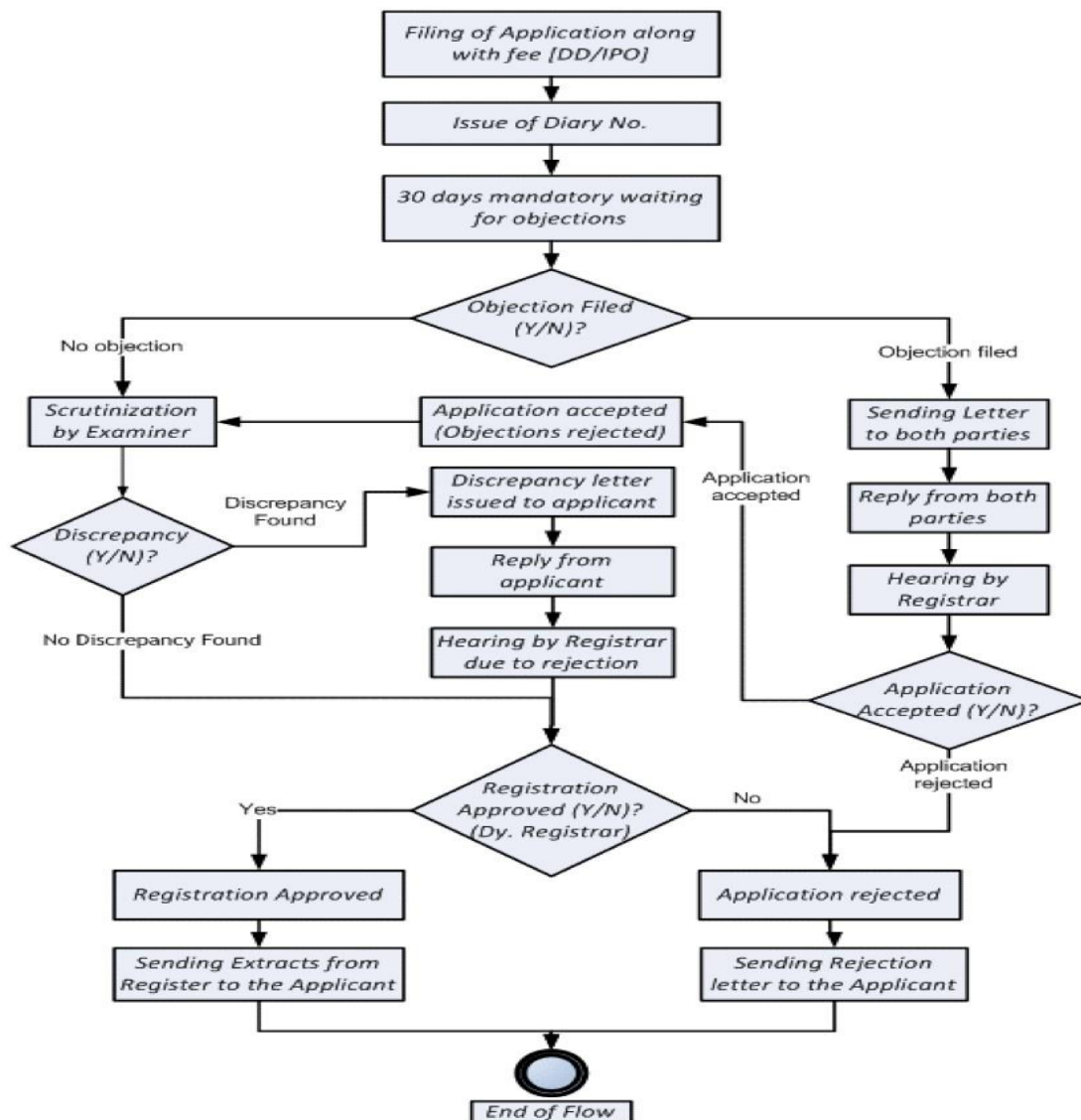
Form SE (periodicals, newspapers magazines, newsletter, annuals and Journals).

Procedure for registering a copyright

1. **Application Submission:** The registration process begins with submitting an application to the Copyright Office. The application can be filed online or offline. It must be in the prescribed form, which varies depending on the type of work (literary, musical, artistic, etc.).
2. **Documents Required:** Along with the application, applicants must submit a copy of the work, a demand draft for the applicable fee, and a power of attorney if the application is filed through an authorized agent.
3. **Examination:** After submission, the application is examined by the Copyright Office. This examination checks for any discrepancies or objections. If any objections are raised, the applicant is notified and given a chance to respond.

4. **Registration:** Once the examination is complete and any objections are resolved, the work is registered, and a registration certificate is issued to the applicant. The details of the registered work are also entered into the Register of Copyrights.

Copyright Registration Workflow



Copyright infringement:

- Copyright infringement is the use or production of copyright-protected material without the permission of the copyright holder.

- Individuals and companies who develop new works register for copyright protection to ensure that they can profit from their efforts.
- Other parties may be granted permission to use those works through licensing arrangements.
- Other parties can also buy the works from the copyright holder.

Remedies for Copyright infringement

There are multiple remedies for copyright infringement, including civil, criminal, and administrative remedies:

➤ **Civil remedies**

These include injunctions, damages, account of profit, delivery of infringing copies, and damages for conversion. To get an interlocutory injunction, the plaintiff must show a prima facie case, a balance of convenience, and an irreparable injury.

➤ **Criminal remedies**

These include imprisonment, fines, and seizure of infringing copies. The minimum punishment for copyright infringement is six months in prison and a minimum fine of Rs. 50,000. For a second or subsequent conviction, the minimum punishment is one year in prison and a fine of Rs. 1 lakh.

➤ **Administrative remedies**

These include moving the Registrar of copyrights to ban the import of infringing copies into India.

PATENTS:

A patent is a government granted right for a fixed time period to exclude others from making, selling, using, and importing an invention, product, process or design, or improvements on such items. These exclusive, monopoly rights are powerful, and in return the inventor is required to describe the invention in writing. The end result is simply a written description, accompanied by diagrams and drawings, that explains the invention. The public benefits because anyone can read the details of the invention and improve upon it. Importantly, the patent not only allows the public to gain an understanding of the invention, but also defines its limits. Once the patent term expires (generally 20 years from the application filing date), the technology covered by the patent becomes a part of the public domain and is essentially free to use by the public.

Meaning of Patent:

The word “patent” is referred from a Latin term “patere” which means “to lay open,” i.e. to make available for public inspection. A patent is an exclusive right granted by the Government to the inventor to exclude others to use, make and sell an invention is a specific period of time. There are three basic tests for any invention to be patentable:

- Firstly, the invention must be novel, meaning thereby that the Invention must not be in existence.
- Secondly, the Invention must be non- obvious, i.e. the Invention must be a significant improvement to the previous one; mere change in technology will not give the right of the patent to the inventor.
- Thirdly, the invention must be useful in a bonafide manner, meaning thereby that the Invention must not be solely used in any illegal work and is useful to the world in a bonafide manner.

Types of Patents:

Generally, there are three main types of patents: utility patents, design patents and plant patents.

- 1) **Utility Patent** – When most people think of patents, they are referring mainly to utility patents. A utility patent is a patent that covers inventions, whether it's an innovative software process, a new product that is distinct from prior art, or an improvement to a car engine. A utility patent can be granted for any new, useful, and non-obvious process or product.
- 2) **Design Patent** – A design patent covers a new and original ornamental design of a product. In other words, a design patent protects the look of a product. Examples of products protected by design patents include jewelry and watches, electronic devices, computer icons, and beverage containers. A design patent consists of numerous drawings that show a product from various angles and contains very little written description, if any.
- 3) **Plant Patents** - Plant patents were first created by the Patent Act of 1930, which had been proposed by Luther Burbank to protect new species of asexually reproduced plants, mostly flowers. These are different than the utility patents granted to bioengineered plants used in agriculture. The United States was the first country in the world to grant plant patents, and even today many countries continue to deny protection for plants. Indeed, even some signatories to the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) administered by the World Trade Organization (WTO) reserve the right to deny patents for plants.

FOUNDATION FOR PATENT LAW:

- The history of Patent law in India starts from 1911 when the Indian Patents and Designs Act, 1911 was enacted.
- The Patents Act, 1970 is the legislation that till date governs patents in India. It first came into force in 1972.
- The Office of the Controller General of Patents, Designs and Trade Marks or CGPDTM is the body responsible for the Indian Patent Act.
- The Patent Office has its headquarters in Calcutta and has branches in New Delhi, Chennai and Mumbai. The office of the CGPDTM is based in Mumbai. Nagpur hosts the office of the Patent Information System and also the National Institute for Intellectual Property Management.

- The Controller General supervises the Act's administration and also offers advice to the government on related matters.
- The Patents Act has been repeatedly amended in 1999, 2002, 2005, 2006 respectively. These amendments were required to make the Patents Act TRIPS compliant. TRIPS stands for Trade-Related Aspects of Intellectual Property Rights.
- The major amendment in the Patent Act was in 2005, when product patents were extended to all fields of technology like food, drugs, chemicals and microorganisms. The Rules under Patent Act were also amended in 2012, 2013, 2014.

What can be patented?

Sections 3 and 4 of the Indian Patents Act, 1970 clearly mentioned the exclusions regarding what can be patented in India. There are certain criteria which have to be fulfilled to obtain a patent in India. They are:

• Patent subject:

The most important consideration is to determine whether the Invention relates to a patent subject matter. Sections 3 and 4 of the Patents Act list non-patentable subject matter. Unless the Invention comes under any provision of Section 3 or 4, it means that it consists of a subject for a patent.

• Novelty:

Innovation is an important criterion in determining the patent potential of an invention. Under Section 2(l) of the Patent Act, a novelty or new Invention is defined as “no invention or technology published in any document before the date of filing of a patent application, anywhere in the country or the world”. The complete specification, that is, the subject matter has not fallen into the public domain or is not part of state of the art”.

Simply, the novelty requirement basically states that an invention that should never have been published in the public domain. It must be the newest which have no same or similar prior arts.

• Inventive steps or non-clarity:

Under Section 2(ja) of the Patents Act, an inventive step is defined as “the characteristic of an invention that involves technological advancement or is of economic importance or both, as compared to existing knowledge, and invention not obvious to a person skilled in the art.” This

means that the invention should not be obvious to a person skilled in the same field where the invention is concerned. It should not be inventive and obvious for a person skilled in the same field.

- **Capable of industrial application:**

Industrial applicability is defined in Section 2 (ac) of the Patents Act as “the invention is capable of being made or used in an industry”. This basically means that the Invention cannot exist in the abstract. It must be capable of being applied in any industry, which means that it must have practical utility in respect of patent.

These are statutory criteria for the patent of an invention. In addition, other important criteria for obtaining a patent is the disclosure of a competent patent. A competent patent disclosure means a patent draft specification must adequately disclose the Invention, so as to enable a person skilled in the same field related to carrying out the Invention with undue efforts.

Patent Registration & Patent Search:

Patents provide intellectual property rights protection to newly invented products, services and processes. To enforce these rights, Patents must be registered under the Indian Patent Act of 1970. What exactly is the procedure for Patent registration, is what we have discussed in this blog at length.

Procedure of Patent Registration in India starts with conducting patent searches before the patent application is actually filed. Patent Searches help determine the novelty of an invention which is the most significant eligibility criteria for Patent Registration in India. After ensuring that the invention is absolutely novel and original, a Patent application can be filed to the Indian Patent Office at any of its regional branches located in Delhi, Mumbai, Chennai and Kolkata. Patent Applications can either be provisional or complete. Both these filings serve different purposes in the patent application process. Provisional patent filing establishes patent rights over a product which is yet to be developed and helps claim an early filing date. The status of the Patent after Provisional patent filing remains “Pending.” A 12 months window is further provided to develop the invention before a complete patent application can actually be filed. A complete patent filing, on the other hand, includes the detailed description of the developed invention, outlining all the claims of the applicant, and presenting any necessary diagram to represent it. The aim is to provide a full and detailed disclosure of the invention to the Patent Office for successful Patent Registration.

What is Patent Registration?

Patent Registration is a legal process which grants exclusive rights of ownership and usership to the inventor of a product, service, or technology. As a result, the inventor gains monopoly over his invention for the entire duration until the patent registration is valid. The Patent Registration process is extremely crucial for inventors and businesses to protect their innovative ideas and prevent others from using, selling, or manufacturing their inventions without permission or authorization. In India, Patent registration is governed by the Patents Act of 1970, and administered by the Indian Patent Office.

Why is patent registration required? : Key Benefits of Patent Registration

1. **Legal Protection:** Patent registration offers legal protection to inventors by granting them exclusive rights over their inventions. It prohibits others from making, using, selling, or importing the patented invention without the inventor's authorization. This protection serves as a strong deterrent against potential infringement and provides a solid foundation for legal recourse in case any unauthorized use is detected.
2. **Market Advantage:** Obtaining a patent provides inventors and businesses with a competitive edge in the market. It allows them to capitalize on their unique inventions exclusively and prevent competitors from plagiarising their ideas. With a patent, inventors can secure a market monopoly, differentiate themselves from competitors, and potentially command higher prices or licensing fees for their patented technology.
3. **Financial Opportunities:** Patents can open doors to various financial opportunities. They can attract investors and venture capitalists who are interested in supporting innovative technologies. Patented inventions can also generate revenue through licensing agreements, where other businesses pay for the right to use or commercialize the patented technology. Additionally, patents can increase the overall value of a company, making it more attractive for mergers, acquisitions, or partnerships.
4. **Research and Development Incentives:** Patent registration encourages and rewards innovation by providing inventors with a time-limited monopoly. This incentivizes inventors and businesses to invest in research and development (R&D) activities, knowing that they will have exclusive patent rights and potential financial benefits from their inventions. It fosters a culture of innovation, promotes technological advancements, and contributes to overall economic growth.

Eligibility for Patent Registration in India

Patent registration in India is subject to certain eligibility criteria that an invention must meet

to qualify for protection. Understanding the eligibility requirements is crucial before initiating the patent registration process. Let's explore the key factors that determine the eligibility for patent registration in India:

1. **Novelty:** To be eligible for a patent, an invention must be novel, meaning it should not have been disclosed to the public before the date of filing the patent application. The invention should offer something new and inventive, and it should not be a part of the existing knowledge or prior art.
2. **Inventive Step:** An invention must possess an inventive step or non-obviousness, which means it should not be obvious to a person skilled in the relevant field of technology. The invention must involve a technical advancement or an inventive concept that is not readily deducible or obvious from existing knowledge or prior art.
3. **Industrial Applicability:** The invention must have industrial applicability, meaning it should be capable of being made or used in an industry. It should have practical utility and be applicable in any field of technology.
4. **Exclusions:** Not all inventions are eligible for patent registration. Certain subject matters are excluded from patent protection, including inventions that are contrary to public order, morality, or health. Discoveries, scientific theories, mathematical methods, aesthetic creations, and computer programs per se are also excluded from patentability.
5. **Ownership:** The person seeking patent registration must be the true and first inventor or the assignee of the inventor. In case of joint inventors, they should be listed as co-inventors in the patent application.
6. **Non-Disclosure to the Public:** It is important to note that the invention should not have been publicly disclosed before filing the patent application. Public disclosure may affect the novelty and nonobviousness of the invention, potentially jeopardizing its eligibility for patent protection.

Stepwise Procedure for Patent Registration in India

Patent Registration process can be completed in multiple stages, beginning from Patent Search to the issuance of Patent Registration Certificate. These stages involve legal intricacies which can be better handled by an experienced IPR Professional. So, we strongly recommend approaching a Patent Service Provider like Setindiabiz, or an experienced legal practitioner for patent filing in India.

Here is a detailed explanation of the Patent Registration process in India:

Step 1: Patent Search

Patent Search is the first step of Patent Filing procedure in India and is conducted worldwide to determine the novelty of an invention. Generally, it is considered safe to do patent searches before patent application filing. If an invention is found in prior arts or closely resembling prior arts, then the novelty of that invention can be challenged by the Indian Patent Office and the application can be objected to. Therefore, it is important to perform prior patent searches to assess the chances of your patent getting approved by the Patent Office.

Step 2: Drafting Patent Specification

After conducting thorough searches worldwide, the specification of the invention is written in a techno-legal language with or without the inventor's claims. Without claims is the provisional specification and with claims is the complete specification. The specification outlines the field of invention, detailed description of the invention with working examples, and the best method to use the invention so that when it comes to the knowledge of a person skilled in the art, it can be easily used. Legal protection to the patent is granted when the specification is drafted with the inventor's claim and is complete.

Step 3: Patent Application Filing

After drafting the Patent Specification, you can begin the procedure for Filing Patent Application in India. As we discussed earlier, patent applications can be provisional or complete, based on the specifications drafted. The drafted provisional or complete specification is filed in Form-2 while Patent Application form is filed in Form 1 as prescribed by the Indian Patent Act. If a provisional patent specification is filed, then within 12 months of its filing, a complete specification has to be filed with the inventor's claims. There are 6 different types of Patent Application forms which can be filed on the basis of their purpose. These are:

- **Ordinary patent application:** Used to file a patent application directly in India, seeking protection only within the Indian territory.
- **PCT National phase patent application:** Used to enter the national phase of PCT or Patent Cooperation Treaty in India, after which the applicant will be allowed to seek patent protection in multiple countries.
- **PCT International patent application:** Used to file a single patent application for patent registration in multiple countries which are members of the PCT, providing a centralized process for seeking patent protection internationally.
- **Convention patent application:** Used to claim priority based on an earlier application filed in a convention country, allowing applicants to secure the priority date for their invention.

- **Divisional patent application:** Used to divide an existing patent application into multiple separate applications, typically when the existing application contains multiple inventions.
- **Patent of addition application:** Used to file an application for an improvement or modification of an already existing invention for which a patent has already been granted.

Step 4: Patent Publication for Public Opposition

Once the patent application process is complete, then after the expiry of 18 months from the date of patent filing or date of priority whichever is earlier, the patent is published in an official journal and is open for public viewing and inspection. This provides an opportunity to the general public to raise an objection to the patent on valid grounds.

Step 5: Requesting Patent Examination

The patent application is examined only when a request for examination has been filed. The request for examination has to be filed within 48 months of the patent filing date or date of the priority. The patent examiner examines a patent application and issues an examination report. The examination report contains a series of objections raised by an examiner. The response to an examination report has to be filed within 12 months of the issuance of the examination report. If needed, the examiner can call the applicant or his agent for a show cause hearing to resolve the objections. That's why this phase is also called patent prosecution.

Step 6: Grant of a Patent

After all objections to the examination report have been replied to and the examiner is satisfied with the reply of the applicant, the application is put in order for grant of Patent Registration. This marks the end of the procedure for registration of Patent. On the other hand, if the examiner is not satisfied with the reply and arguments of the applicant, then he/she can reject the patent application. In this case, the applicant will again have to repeat the entire patent procedure in India again to get patent protection.

Documents Required for Patent Registration

The patent filing process in India is incomplete without the submission of certain supporting documents with the application. These documents are essential for successful patent registration to the extent that their incorrect or inadequate filing may result in the application being rejected by the Patent Office. Here's a complete list of these documents required for Patent Registration in India.

1. **Application Form:** A duly filled and signed patent application form (Form 1) is required, providing details such as the applicant's name, address, and contact information.

2. **Provisional/Complete Specification:** A patent specification document (Form 2) is required, describing the invention in detail, including its technical aspects, working examples, and any drawings or diagrams necessary for understanding the invention. A provisional patent specification may be initially filed, followed by a complete patent specification within 12 months.
3. **Abstract of the Invention:** A brief summary (not exceeding 150 words) highlighting the technical features and advantages of the invention is required.
4. **Power of Attorney:** If the patent filing procedure is being carried out by a Patent Agent or Service Provider, a Power of Attorney document authorizing them to act on behalf of the applicant is required.
5. **Statement and Undertaking:** A statement and undertaking (Form 3) declaring the inventorship of the invention and the accuracy of the information provided in the application must be submitted.
6. **Priority Document (if applicable):** If the applicant is claiming priority based on an earlier filed patent application in the convention country, a certified copy of the priority document, along with its English translation must be submitted.
7. **Proof of Right to File:** In cases where the applicant is not the inventor, a document establishing the applicant's right to file the patent application, such as an assignment deed or employer-employee agreement, needs to be submitted.
8. **Form 28:** If the applicant is a registered MSME or DPIIT Recognized Startup, they can claim reduction in Patent registration fees by using Form 28.
9. **Proof of Fee Payment:** The requisite patent registration fees for filing the patent application form, along with any additional fees for specific services like Patent Examination and filing replies to Patent Objection, must be paid and the proof of such payment must be submitted.

Cost & Validity of Patent Registration

Once a patent is granted, it confers exclusive patent rights to the inventor or applicant for a period of 20 years from the date of filing the patent application form, subject to annual renewals starting from the 3rd year after the Patent has been granted. For the cost of Patent Registration in India, you can refer to the table below. It discusses the patent registration fees in India both for e-filing and physical filing modes.

A patent search is the first and crucial stage in the process of patent registration in India. Before you understand how to do a patent search online, it is important to know what is a patent.

There are various platforms available for patent search that are free of cost or have paid subscriptions. To know more about these platforms read this article.

What is a patent search

Before we understand the concept of patent search, we must first understand the patent. A patent refers to a right granted by the government to the applicant or the inventor of an invention. The right shall exclude others in the market from making, selling, offering for sale, or importing the patented product(s) or process(s).

One of the essential conditions to be fulfilled for patent registration is a novelty i.e. the invention must be unique across the world.

A patent search gives you an indication of what information is accessible in the public domain regarding the proposed invention. It will assist in identifying and comparing matching or relevant patent or non-patent documents in order to determine the patentability of the proposed invention.

Importance of a patent search

The main aim of a patent search is to notify the applicant, the inventor, about the patentability. The word ‘patentability’ means that an invention qualifies all the necessary requirements i.e. novelty, non-obviousness, and industrial use.

How does a patent search helps in determining the patentability

- The chance of patent granted increases,’
- Get clarity to draft a patent claim in a patent application,
- Keep track of similar patents and the status of the patent filings.
- It helps in increasing the scope of a patent.

How to do a patent search

There are various platforms available online for patent search, few are free of cost and others have paid subscriptions. The Indian government has its own IP India Patent Search website which has a huge database of patents registered in India. Steps to be followed:

Step 1: Understand the concept of patent search

Hopefully, the concept of patent search is clear now. It is important to set your goals and know what you are looking for.

Lets understand the difference between Patent Searching and Prior Art Searching. The purpose of the patent search is to tell you, the inventor, about the patentability of your invention. Whereas, prior art searching is a little intense and comprehensive search about the subject matter of the invention.

Step 2: Invention disclosure

Till now you must have realized that patent search is a complex task and it is highly advisable to take the help of an Expert. Therefore, it is important that your Patent Attorney must understand the invention before they conduct a patent search.

Step 3: Identifying key features

Once the invention has been disclosed, you should list down main key features of the invention. This step makes the search simpler. Spending time identifying critical characteristics allows us to ensure that we cover all elements of the idea without duplicating work.

Don't attempt to be too creative when recognising features. Use normal language and only discuss the most crucial aspects of the innovation. There is no restriction here; you can use complete sentences to adequately identify each major trait as needed.

Step 4: Search engines

Patent database sites provide several options for patent search. Any of these can be used for the search depending on the purpose or demand. Almost every National Patent Office has its own website where you may search for patents like IP India Patent Search.

Requisite information for patent search

Anybody that has any of the following information can search for patent or patent status:

- Application Date
- Title

- Abstract
- Complete Specification
- Application Number
- Patent Number
- Applicant Number
- Patent Number
- Applicant number
- Applicant Name
- Inventor Name
- Inventor Country
- Inventor Address
- Filing office
- PCT Application Number
- PCT Publication number

NON- PATENTABLE INVENTIONS:

Chapter II of the Patent Act, of 1970 deals with Inventions not Patentable. Any invention that falls under the ambit of Sections 3 & 4 cannot be patented.

As per Section 3 of the Patents Act, 1970[4], —The following are not inventions within the meaning of this Act —

(a) an invention that is frivolous or which claims anything obviously contrary to well-established natural laws;

(b) an invention the primary or intended use or commercial exploitation of which could be contrary to public order or morality or which causes serious prejudice to human, animal, or plant life or health or to the environment;

(c) the mere discovery of a scientific principle or the formulation of an abstract theory or discovery of any living thing or non-living substance occurring in nature;

(d) the mere discovery of a new form of a known substance that does not result in the enhancement of the known efficacy of that substance or the mere discovery of any new property or new use for a known substance or of the mere use of a known process, machine or apparatus unless such known process results in a new product or employs at least one new reactant.

Explanation

For the purposes of this clause, salts, esters, ethers, polymorphs, metabolites, pure form, particle size, isomers, mixtures of isomers, complexes, combinations, and other derivatives of known substance shall be considered to be the same substance, unless they differ significantly in properties with regard to efficacy;

(e) a substance obtained by a mere admixture resulting only in the aggregation of the properties of the components thereof or a process for producing such substance;

f) the mere arrangement or re-arrangement or duplication of known devices each functioning independently of one another in a known way;

(g) Omitted by the Patents (Amendment) Act, 2002

(h) a method of agriculture or horticulture;

(i) any process for the medicinal, surgical, curative, prophylactic diagnostic, therapeutic, or other treatment of human beings or any process for a similar treatment of animals to render them free of disease or to increase their economic value or that of their products.

(j) plants and animals in whole or any part thereof other than micro-organisms but including seeds, varieties, and species and essentially biological processes for production or propagation of plants and animals;

(k) a mathematical or business method or a computer program per se or algorithms;

(l) a literary, dramatic, musical, or artistic work or any other aesthetic creation whatsoever including cinematographic works and television productions;

(m) a mere scheme or rule or method of performing a mental act or method of playing a game;

(n) a presentation of information;

(o) topography of integrated circuits;

(p) an invention which in effect, is traditional knowledge or which is an aggregation or duplication of known properties of traditionally known components or components.

Section 4 of Patents Act, 1970

Section 4 of the Patents Act, 1970 [5] deals with inventions relating to atomic energy. It states that *“No patent shall be granted in respect of an invention relating to atomic energy falling within sub-section (1) of section 20 of the Atomic Energy Act, 1962 (33 of 1962)[6].”*

Section 20(1) of the Atomic Energy Act, 1962 (33 of 1962) states that- “as from the commencement of this Act, no patents shall be granted for inventions which in the opinion of the Central Government are useful for or relate to the production, control, use or disposal of atomic energy or the prospecting, mining, extraction, production, physical and chemical

treatment, fabrication, enrichment, canning or use of any prescribed substance or radioactive substance or the ensuring of safety in atomic energy operations.”

UNIT –IV

Industrial Design and Geographical Indication

Industrial Design act, 2000

Among the different kinds of intellectual property rights (IPR), one of the most important ones is industrial design. Companies go enormous lengths to protect industrial design because it gives them a competitive edge in the market and a lot of energy and resources goes into developing them. If competitors are allowed to copy the industrial design without the owner's consent, there would be little incentive to develop new ways of improving things. It will act as a dampener to innovation.

So naturally, industrial design intellectual property rights are critical for a modern economy. According to the World Intellectual Property Rights Organization (WIPO), it is a composition of lines and colors or any three-dimensional form, which leaves a unique impression on a product. They maintain the essence of the ornamental or aesthetic aspect of a useful article, which usually appeals to sight and touch senses, and can be reproduced in significant quantities. Industrial design protection applies to several products, including packaging, lighting, jewellery, electronic goods, textiles and even logos.



Earlier this Act was governed by the Design Act, 1911. In order to bring the Design Act at par with the International law the enactment of the Design Act, 2000 took place. So, presently the design laws are regulated by the Design Act of 2000. It is an Act to consolidate and amend the law relating to the protection of designs. It was published in the Gazette of India and came into force on 12.05.2000. This Act is a complete code in itself and is statutory in nature. It extends to the whole of India.

Meaning of Design

Design is defined under Section 2(d) of the Design Act as any feature which consists of shape, figure, a configuration which is applied to an article and is made by an industrial process be it mechanical, chemical, manual, separate or combined which appeal to in the finished article and is judged solely by the eyes and it does not include any mode of construction or anything unjust a mechanical device and anything which is a part of a trademark or artistic work.

Origin and development of design act in India

- The origin of the Design Act in India traces back to the British period.
- The first Act that gave privileges and protection to designs was the Patent and Designs Act, 1872. This Act supplemented the Act of 1859 which was passed by the Governor-General of India to protect industrial designs and grant privileges to inventors.
- The Inventions and Designs Act of 1888 repealed this Act of 1872.
- The Act of 1888 was a reaction of the Designs Act of the United Kingdom.
- In the year 1911, the British government enacted a new law in the form of the Patent and Designs Act repealing all the prior legislations.
- In 1930, this Act was amended and the government came up with some changes in the process of registration of designs in which the concept of new and original design changed to the new or original design.
- This legislation used to govern the matters related to both patents as well as designs.
- In 1970, the Patent Act was enacted to deal with the matters of patent specially. All the provisions regarding patents from this Act were repealed and it continued to deal with Industrial designs till 2000.
- India became a member state of the WTO in the year 1995. Consequently, the Patents and Designs Act of 1911 was repealed and a new act called the Designs Act, 2000 was enacted in compliance with TRIPS (Trade-Related aspects of Intellectual Property Rights) to make design laws for the country.
- This new Act was enforced on 11th May 2001.

Essentials of design under the design Act

For a design to be registered there are certain qualifications which should be met. They are:

It should be new and original

New and original in this context means that the article is produced for the first time and it was unknown until then. In the case of *Gammeter v. Controller of Patents and Designs*, the Calcutta High Court held that the design for which the novelty is being claimed should be placed side-by-side with the other design and then decided.

It should not be published earlier

The design should not be published earlier for which the registration is being claimed. It should not be publicly accessible which means that it has not been made available to the public by registration or some other way.

It should not be contrary to morality and order

The design must not be contrary to morality and order or prohibited by the Government of India or any institution. The design which is capable of disrupting the public order and peace is not considered capable of registration as mentioned under Section 5 of the Act.

Salient features of design act 2000

- India is a member of the World Trade Organization's Paris Convention. It has signed the Patent Cooperation Treaty which allows all the signatories of the convention to claim priority rights
- Under the Act of 2000, Locarno classification has been adopted in which the classification is based only on the subject matter of design. Under the previous provisions, the classification was made on the basis of the material which has been used to make that material.
- The introduction of "Absolute Novelty" makes it possible to judge a novelty on the basis of prior publication of any article. This is applicable in other countries also.
- As per the new law, a design can be restored which was absent in the previous enactment. Now, the registration of a design can be restored.
- The Act allows the district courts to transfer cases to the high courts where the jurisdiction is present. It is possible only in cases where a person is challenging the validity of any registration.
- Laws regarding the delegation of powers of the controllers to other controllers and the duty of examiner are also mentioned in the new Act.
- The quantum of punishment is also enhanced under the Act in case of any infringement.
- The secrecy of two years of a registered design is also revoked.
- Provisions regarding the avoidance of certain restrictive conditions are also there so as to regulate anti-competitive practices in contractual licenses.
- Whenever a license is brought within the domain of public records and that too publicly, the registration is likely to be taken into consideration. Anyone can get a certified copy of it in order to inspect the same.
- The laws regarding the substitution of the application before registering a design are also mentioned in the new enactment.
- Under new provisions, power has been given to district court to transfer cases to the high court where the court is having jurisdiction. This is only possible if the person is challenging the validity of the design registration.

- Incorporates the provisions regarding delegation of powers of the controller to other controllers and duty of examiner.
- Under the new provision, the quantum of punishment is also enhanced in case of infringement.
- It revokes the secrecy of two years of a registered design.
- It contains provisions for the avoidance of certain restrictive conditions so as to regulate anti-competitive practices within contractual licenses.
- The registration is taken into consideration when it is brought within the domain of public records that too physically. Anyone can inspect the records and get a certified copy of it.
- It contains provisions for substitution of the application before registering the design.

Designs which are not registrable under Design Act

The following items cannot be registered as a design:

- Books, jackets, calendars, certificates, forms-and other documents, dressmaking patterns, greeting cards, leaflets, maps and plan cards, postcards, stamps, medals.
- Labels, tokens, cards, cartoons. any principle or mode of construction of an article.
- Mere mechanical contrivance.
- Buildings and structures.
- Parts of articles not manufactured and sold separately.
- Variations commonly used in the trade.
- Mere workshop alterations of components of an assembly.
- Mere change in size of article.

Kind of protection provided in Industrial design

In principle, the owner of a registered industrial design or of a design patent has the right to prevent third parties from making, selling or importing articles bearing or embodying a design which is a copy, or substantially a copy, of the protected design, when such acts are undertaken for commercial purposes.

Under this, registration offers the proprietor ‘copyright’ in the design, i.e. exclusive right to apply a design to the article belonging to the class in which it is registered. All models that are registered find their place in the Register of Designs, Kolkata. This includes the design number, class number, date of filing (in this country), the name and address of the proprietor and so on.

Duration of Registration

The registration is for a duration of ten years and can be extended for up to five years. Under the Designs Act, anyone violating the copyright of the design is liable to pay a sum of Rs.25,000 for every offense to the registered proprietor subject to a maximum of Rs. 50,000 recoverable as contract debt for any one design.

Industrial Design Registration Process

Steps involved in registering a Design in India:

a) Design Application

A design application is made on Form 1 along with the prescribed fee stating name in full, address and nationality, name of the article, class number and address for service in India.

In India, only a registered a patent agent or legal practitioner can be appointed as an authorised agent. And the application shall also be signed either by the applicant or by his authorized agent.

- Following documents has to be submitted while filing design application:
- Representation in quadruplicate of the article where drawings, photographs, tracings or other representations including computer graphics should clearly show the features of the design from different views.
- A statement of novelty and disclaimer (if any) in respect of mechanical action, trademark, work, letter, numerals should be endorsed on each representation sheet which should be duly signed and dated.
- Power of attorney (if necessary).
- Priority documents (if any) in case of convention application claimed under Section 44 of the Designs Act, 2000
- For small entity, Form 24 & documentary evidences.

b) Initial processing of Design Application

After filing of the design application with the prescribed fee, the design application is accorded with a date and a serial number. The serial number eventually becomes the registration number of the design post-registration.

c) Examination

Once the design application is filed, it will be taken up for **examination** under Section 5 and 44 of the Act.

At this stage, the Examiner of designs does a formality check to determine if the application has fulfilled the prescribed criteria and a substantive examination where the examiner sees if the design is novel and if there are any similar designs already on the Register.

In the examination report, the examiner highlights the Defects or objections in the application, if any, noticed during examination of the application. The examination report is communicated to the applicant or to his agent at the address for service.

The defects notified by the examiner must be corrected within a period of **6 months** from the official date of examination report.

(Note: No need to file a separate request for examination. Design Applications are automatically taken up for examination once filed)

d) Acceptance and Notification

If there are no objections, the design will be registered. However, if there are objections then it is communicated to the applicant who is required to comply with the objections within 6 months from the date of filing of the application.

Once the design application is accepted the same is notified in the Patent Office Journal.

e) Abandonment

In case the applicant fails to respond to the objections or does not comply with the objections raised, then the design shall be deemed to have been abandoned.

f) Hearing

In case the applicant contests the objections, and the defects are not rectified, as required by Controller, a hearing will be provided to the applicant.

The hearing will be appointed within 1-2 months.

After hearing the controller shall decide whether the application should be accepted or not.

The Controller's decision after the hearing is communicated in writing (stating reasons) to the Applicant or his Agent.

Any person aggrieved by the decision of the Controller refusing to register a design may appeal to the High Court. The appeal should be made within three months from the date of the Controller's decision.

g) Registration and Publication

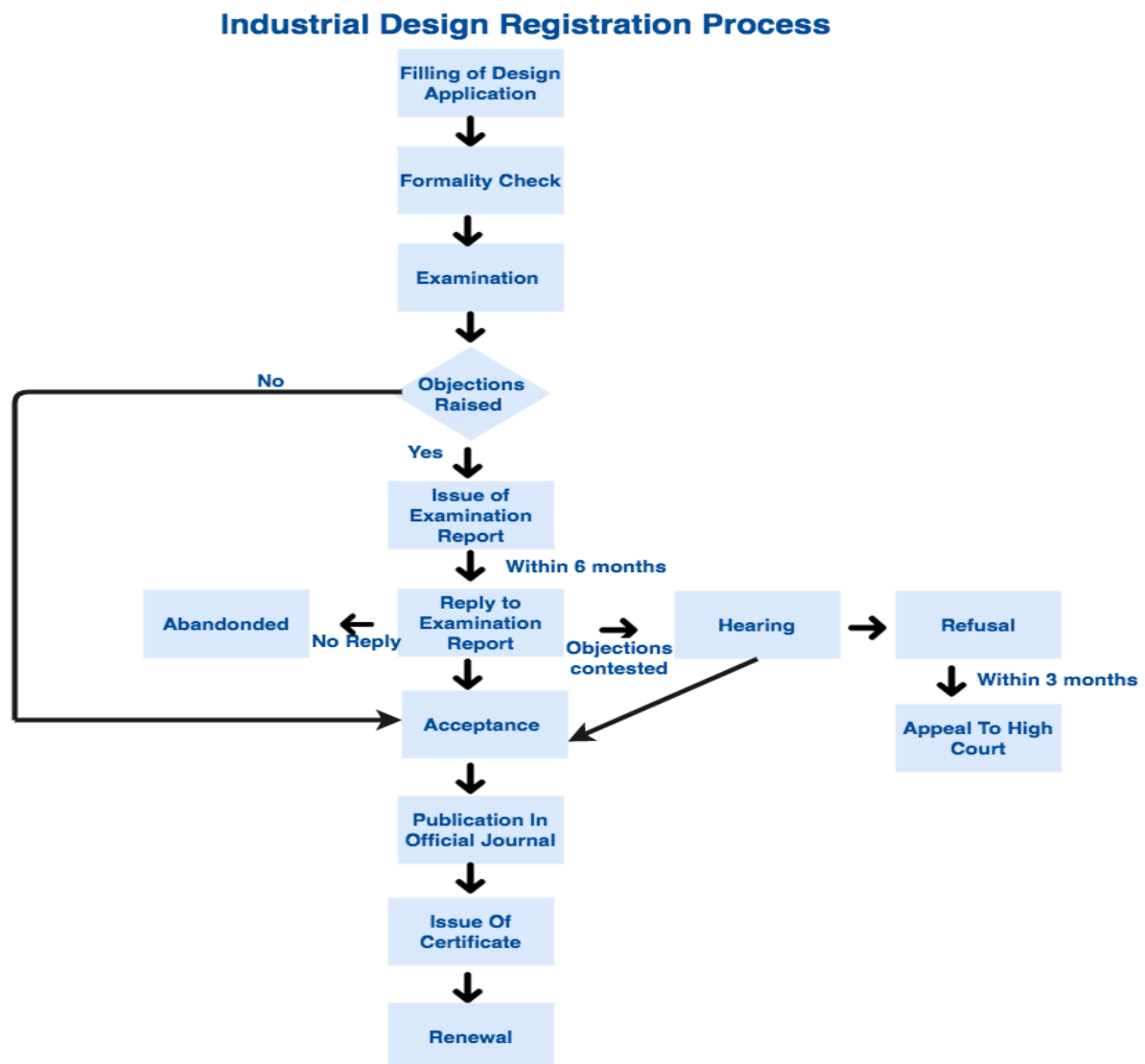
The application is registered once all the requirements are fulfilled by the applicant after which it is published in the Patent Office Journal which is published every Friday.

h) Certificate of Registration

Once the design is registered and details are entered in the Register and a certificate of design registration is issued.

i) Validity

A design registration lasts for a period of 10 years from the date of registration after which an extension can be filed for another 5 years.



Advantages of industrial design protection

There are many benefits of IPR in industrial design. It would be wise to understand them –

Monetary gain: The biggest benefit would be the financial gain that would accrue to the owner of the design right. As we mentioned earlier, companies spend a lot of resources to gain an edge over competitors, and good design can help them make a lot of money.

Unique selling proposition: In a competitive market, companies can get an edge by having a product that looks and feels different/unique. Often consumers make purchase decisions based on the appearance. Industrial design protection enables companies to protect their USP and set their product distinctly apart.

Selling designs: If a company cannot profit directly from the design developed, they can sell it to third parties and make a profit from its design capabilities.

Image: Design protection helps build a positive image of a company. Industrial designs are considered critical business assets and can even increase the share price of a company that, in turn, helps sell their products.

The law offers high-level protection for IPR in industrial design. However, infringement of design rights is quite common in India more often than not because of weak enforcement. As competition heightens, the temptation to steal designs is stronger. Hence, it is crucial for the authorities to be more stringent in enforcing design rights. Companies, for their part, should be vigilant about their rights and take proactive measures to protect them.

Geographical Indication Act, 1999

A geographical indication is a sign used on products that has a specific geographic origin and includes the qualities or reputation of that origin. A geographical indication is given mainly to agricultural, natural, manufactured, handicraft arising from a certain geographical area. Geographical indications (G.I.) are one of the forms of IPR which identifies a good as originating in the respective territory of the country, or a region or locality in that particular territory, where a given quality, reputation or other characteristic related to good is essentially attributable to its geographical origin.

It performs three functions:

First, they identify the goods as to the origin of a particular region or locality;

Secondly, they suggest to consumers that goods come from a region where a given quality, reputation, or other characteristics of the goods are essentially attributed to their geographic origin;

Third, they promote the goods of producers of a particular region. They suggest the consumer that the goods come from this area where a given quality, reputation or other characteristics of goods are essentially attributable to the geographic region.

The object of the Geographical Indicators Goods (Registration and Protection) Act, 1999, has three folds:

- By specific laws governing the geographical Indication of goods in the country, which can adequately protect the interests of the producers of such goods,
- To exclude unauthorized persons from misuse of geographical signals and protect consumers from fraud, and
- Promoting Indian geographical bearing goods in the export market.

Some of the Examples of Indian geographical indications which are registered in India are:

- Basmati rice
- Darjeeling tea
- Banaras Brocades and Sarees
- Coorg orange
- Phulkari
- Kolhapuri chappals
- Kangivaram sarees
- Agra Petha

Geographical Indications in India

The Geographical Indications of Goods (Registration and Protection) Act, 1999 (GI Act) is a sui generis Act of the Parliament of India for protection of geographical indications in India.

India, as a member of the World Trade Organization (WTO), enacted the Act to comply with the Agreement on Trade-Related Aspects of Intellectual Property Rights. The GI tag ensures that only those registered as authorized users (or at least those residing inside the geographic territory) are allowed to use the popular product name.

According to section 2 (1)(e) of the Act, Geographical indication has been defined as "an indication which identifies such goods as agricultural goods, natural goods or manufactured goods as originating, or manufactured in the territory of a country, or a region or locality in that territory, where a given quality, reputation or other characteristic of such goods is essentially attributable to its geographical origin and in case where such goods are manufactured goods one of the activities of either the production or of processing or preparation of the goods concerned takes place in such territory, region or locality, as the case may be."

Items which are not registrable under geographical Indication

For getting registration, the indications should fall within the purview of Section 2(1) of Geographical Indication Act, 1999. When this happens, it must also meet the provisions of Section 9, which prohibits the registration of a geographical indication.

- The use of which would cause confusion or confusion; or

- The use of which shall be contrary to the time of enactment of any law; or
- Which includes or is libellous or indecent matter; or
- Which is likely to involve or cause force injury at any time; Religious sensitivity of any class or class of citizens of India; or
- Which would otherwise be destroyed for protection in a court; or
- Those determined to indicate common names or objects and, therefore, to be preserved in their country of origin or which are not in use in that country; or
- However, this is actually true as the area or locality in which the goods originate but misrepresents the individuals that the goods originate in another area, region or locality as the case may be.

Rights granted to the holders of GI

- **Right to sue:** The exclusive rights have been granted to the person who is protected under geographical indication act and, therefore, can be inherited, gifted, sold, licensed, entrusted or mortgaged. The holder of geographical Indication has a type of property that he can use subject to certain conditions and take legal action against a person who uses his invention without his consent. Does and can receive compensation against real property.
- **The right to grant license others:** The holder has the right to transfer a license or grant license or enter into any other arrangement for consideration regarding their product. A license or assignment must be given in writing and registered with the Registrar of geographic indications, for it to be valid and legitimate.
- **Right to exploit:** Authorize user exclusive right to use geographic Indication with respect to geographic goods for which the geographic Indication is registered.
- **Right to get reliefs:** Registered Proprietors and authorized Users or Users have the Rights to obtain relief in relation to the violation of such geographical Indication.

Whom to consider an authorized user

The authorized user is:

- The manufacturer of the goods can apply for registration as an authorized user.
- It must be in relation to a registered geographical indication.
- He should apply in writing with the prescribed fee.

Whom to consider as the registered proprietor of a geographical indication

The registered proprietors of Geographical Indications are:

- A person, manufacturer, organization or association established under law or legislation may be a registered owner.
- Their name must be entered in the Register of Geographical Indicators as there are registered owners for the Geographical Indication.

Geographical Indications Registration Process

Steps involved in registering a Geographical Indications in India:

STEP 1 : Filing of application

Please check whether the indication comes within the ambit of the definition of a GI under section 2(1)(e).

The association of persons or producers or any organization or authority should represent the interest of producers of the concerned goods and should file an affidavit how the applicant claims to represent their interest.

STEP 2 and 3: Preliminary scrutiny and examination

- The Examiner will scrutinize the application for any deficiencies.
- The applicant should within one month of the communication in this regard, remedy the same.
- The content of statement of case is assessed by a consultative group of experts will versed on the subject.
- The will ascertain the correctness of particulars furnished.
- Thereafter an Examination Report would be issued.

STEP 4: Show cause notice

- If the Registrar has any objection to the application, he will communicate such objection.
- The applicant must respond within two months or apply for a hearing.
- The decision will be duly communicated. If the applicant wishes to appeal, he may within one month make a request.
- The Registrar is also empowered to withdraw an application, if it is accepted in error, after giving on opportunity of being heard.

STEP 5: Publication in the geographical indications Journal

Every application, within three months of acceptance shall be published in the Geographical Indications Journal.

STEP 6: Opposition to Registration

- Any person can file a notice of opposition within three months (extendable by another month on request which has to be filed before three months) opposing the GI application published in the Journal.
- The registrar shall serve a copy of the notice on the applicant.
- Within two months the applicant shall sent a copy of the counter statement.
- If he does not do this he shall be deemed to have abandoned his application. Where the counter-statement has been filed, the registrar shall serve a copy on the person giving the notice of opposition.
- Thereafter, both sides will lead their respective evidences by way of affidavit and supporting documents.
- A date for hearing of the case will be fixed thereafter.

STEP 7: Registration

- Where an application for a GI has been accepted, the registrar shall register the geographical indication. If registered the date of filing of the application shall be deemed to be the date of registration.

- The registrar shall issue to the applicant a certificate with the seal of the Geographical indications registry.

STEP 8: Renewal

A registered GI shall be valid for 10 years and can be renewed on payment of renewal fee.

STEP 9: Additional protection to notified goods

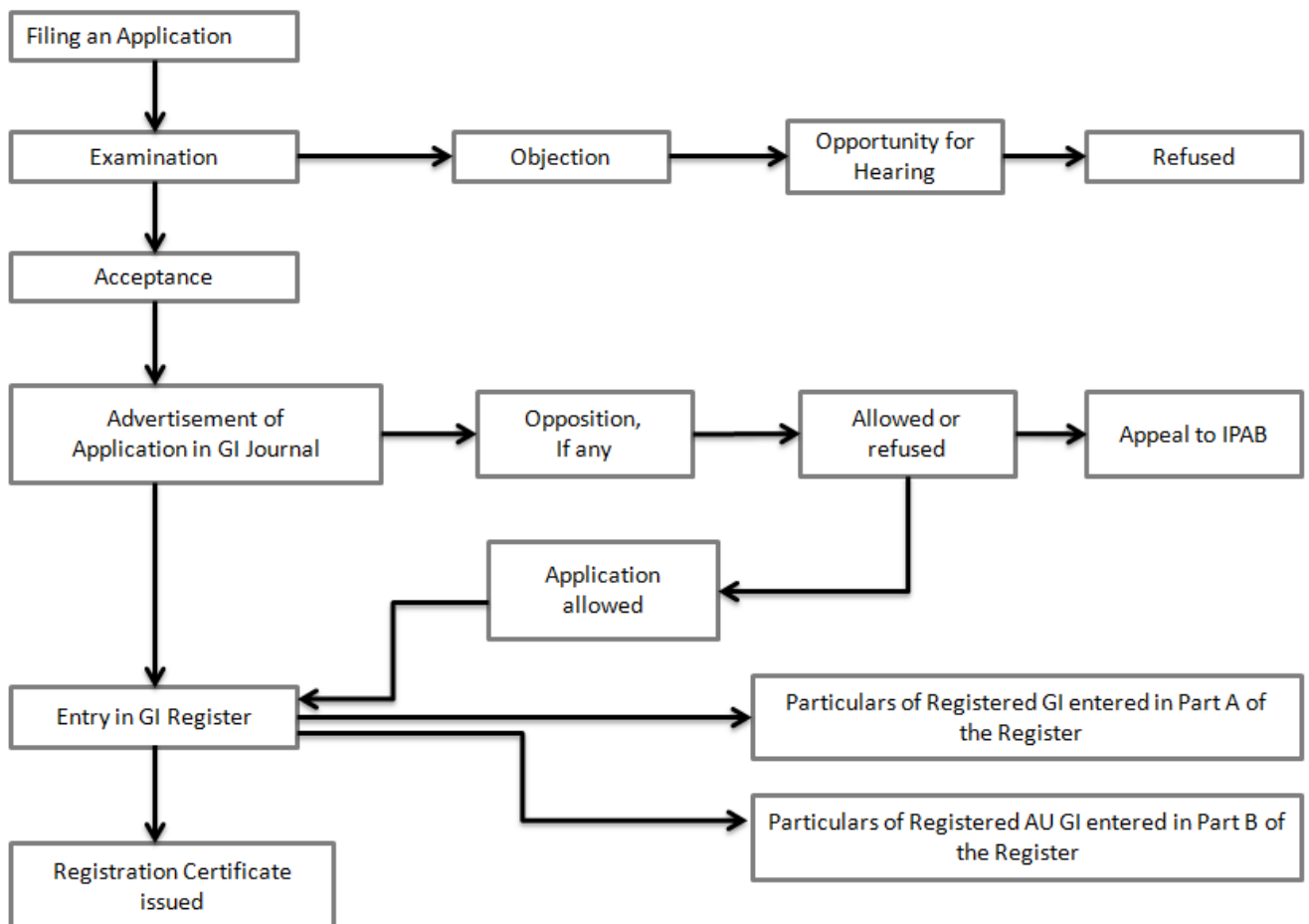
Additional protection for notified goods is provided in the Act.

STEP 10: Appeal

Any person aggrieved by an order or decision may prefer an appeal to the intellectual property appellate board (IPAB) within three months.

Flow Chart of Registration

- In December 1999, Parliament passed the Geographical Indications of Goods (Registration and Protection) Act 1999. This Act seeks to provide for the registration and protection of Geographical Indications relating to goods in India. This Act is administered by the Controller General of Patents, Designs and Trade Marks, who is the Registrar of Geographical Indications. The Geographical Indications Registry is located at Chennai.
- The Registrar of Geographical Indication is divided into two parts. Part 'A' consists of particulars relating to registered Geographical indications and Part 'B' consists of particulars of the registered authorized users. The registration process is similar to both for registration of geographical indication and an authorized user which is illustrated below:



Duration of Registration

A GI is registered for an initial period of ten years, which may be renewed from time to time.

Benefits of Geographical Indications:

The organizations or companies who register their geographical indications enjoy various advantages from the registration, including:

1. Registered geographical indications have the exclusive right to access or use G.I.'s products during the business.
2. Authorized users enjoy the right to sue for infringement.
3. It provides legal protection to geographical signs in India.
4. Prevents unauthorized use of registered geographical indications by others.
5. It provides legal protection to Indian geographical signals which in turn promotes exports.
6. It promotes the economic prosperity of producers of goods produced in a geographical area.
7. A registered owner can also approach for legal protection in other WTO member countries.
8. It provides legal protection to the respective goods in domestic as well as in international markets.

UNIT –V

Current Contour and Acts

IPR- National & International Careers

Introduction

Intellectual Property law (IP law) is a field that is rapidly expanding. We're seeing a trend away from organization's and companies pursuing real assets like land and machines and toward acquiring intellectual assets. India is becoming a center of intellectual developments such as startups and R&D centers. The goal of intellectual property law is to safeguard and maximize the value of your creative inventions. People are protective of what they have created. It is a natural human tendency for which they require the assistance of another group of individuals. That could be you, aspiring to work in the field of Intellectual Property Rights (IPR) and curious to know about the opportunities it has to offer. While pursuing a career in IPR in India itself can pay you well, you can also opt for a career in IPR internationally that could pay you a whopping monthly salary of Rs. 1.5-3 lakhs.

Requisites for a career in IPR

The following pointers must be kept in mind by one wishing to pursue a career in the field of IP law:

- Whatever function in this industry you believe you are qualified for, understanding the law and its ramifications should be your top priority. In addition, because IPR is so multidisciplinary, good communication skills are required.
- There is marketing to consider, as well as dealing with various groups in order to comprehend the inventions.
- Different roles necessitate different abilities. When dealing with patents, for example, a basic understanding of science and technology is essential. Students become technology phobic as a result of the multidisciplinary nature of IPR and the fact that a considerable proportion of technology study is required for patents, which are a crucial component of IPR.

International career options in IP law

Following are the job opportunities one can consider while wishing to pursue an international career in IPR:

Patent administrator

Any 5-year or 3-year law graduate with good internship experience in IP law is eligible for this position. Responsibilities of a professional under this job title are as follows:

- Filing patent applications with the Indian Patent Office, the Patent and Trademark Office of the respective country and the World Intellectual Property Office in a timely manner to meet deadlines.
- Maintaining and managing the company's intellectual property client dockets.
- Interacting successfully with international clients and foreign law firms.
- Develop and streamline internal patent administration tasks and procedures.
- Maintaining and updating client files.
- Preparing forms for filing patent applications and international applications under the Patent Cooperation Treaty (PCT) in India and in the respective country.
- Tracking upcoming deadlines and notifying the team and the clients of upcoming deadlines.
- Following up on the status of applications filed with the patent offices.
- Reviewing documents received from various patent offices, notifying clients of the same, filing responses if necessary, and updating the intellectual property client dockets.
- Preparing Information Disclosure Statements and Certification Statements for references cited in various search reports and filling them with the USPTO.
- Preparing various documents such as Power of attorney, Oath or Declaration and other patent-related forms.

The average salary of a patent administrator is \$44,867 in the United States.

Patent analysts

Potential patent applications are examined by patent analysts. They may also work for companies that are developing new products, assessing prospective products to see if they are patentable. They are in charge of conducting extensive research to see if similar items are now patented or if patents for similar items are seeking approval. They must assure that a patent application will not be challenged in court. Patent analysts frequently work with a large amount of scientific data and must keep up with current trends and research activities. They must deliver their findings to their employer or clients after conducting research for a proposed patent application. They can also assist firms in locating patents that are of interest to them. Companies wishing to develop new products can buy the rights to produce and market their product from patent holders. The average salary of a patent analyst is \$69,035 per year.

Patent and trademark support roles

Attorneys and lawyers aren't the only ones working in the patent and trademark legal field. There are numerous high-profile support positions available, ranging from a Patent Records Team Leader earning approximately £55,000 to a Temporary Patent Secretary required for an urgent assignment.

IP Manager

Patent and IP Managers are project managers that have extensive technical competence in their field as well as a solid awareness of intellectual property matters. For example, someone with experience in IP and engineering, as well as the ability to manage the legalities and contractual difficulties in the industry, is required for this IP Manager position in engineering. IP managers are required in various companies for international contract negotiation and Mergers & Acquisitions (M&A).

The national average salary for an Intellectual Property Manager is \$95,160 per year.

Business support roles

There's a range of opportunities available in the business support industry, including openings for a Legal Administration Assistant, a Trainee Legal Administrator, an Office Administrator, a Junior Billing Assistant, and entry-level Legal Secretary positions.

Media, fashion, and sports

These are the specialised areas of law where intellectual property law is crucial. These industries rely heavily on intellectual property. They not only require a patent, copyright, and trademark registration, but they also generate a significant amount of work in the areas of licencing, franchising, IP assignment, IP prosecution, and IP enforcement around the world.

IP Blogging

The broad scope of intellectual property law makes it possible to write about it in order to educate people. Professionals and students are welcome to participate in these initiatives, which are frequently paid. IP law blogging is an extra something in their work profile, if not a full-time thing, that allows them to build a reputation for themselves while also assisting the general public in understanding IP law. One such example is SpicyIP. It is the world's third most popular patent blog

Why should you choose IP Law as a career

With liberalization, the challenge for protecting the innovative works of the inventors and producers has become greater than ever. In order to achieve exclusivity/monopolistic rights over the products' manufacturing and distribution, it is necessary to protect the innovation, not only in the Indian market but also in the international market. This will certainly create opportunities for IP lawyers in India as well as abroad.

In addition to these opportunities, the high demand for IP lawyers will also lead to higher rewards. IP law practice will flourish in India as India's global importance as a rapidly growing market for consumer goods, technology, media, automobiles, and luxury items continues to grow. Top IP law firms pay INR 70,000-100,000 to entry-level lawyers, and tier 2 law firms pay between INR 40,000-100,000. Small companies can pay between INR 25,000-40,000. A partner with 10 years of experience can earn 50 lakh-1 crore annually.

Pay scale of an IP lawyer

The average pay scale of an IP lawyer in India is as follows:

Legal Associate: INR 1,99,000-10,00,000.

Intellectual Property Lawyer: INR 2,40,000- 11,00,000.

Judge: INR 8,00,000-30,00,000.

Lecturer: INR 2,92,000-6,10,000.

Author: INR 2,48,000-8,11,000.

Journalist: INR 1,02,000-8,05,000.

Moreover, the average salary of an IP attorney in the United States is \$117,360 per annum or \$56.42 per hour. The lower limit of that spectrum, i.e. the bottom 10% to be precise, earns around \$65,000 annually, whereas, the top 10% makes around \$211,000, yearly.

Furthermore, in the United Kingdom, the average salary of a trainee is from £35,100 to 40,900. As a newly qualified patent attorney, the salary ranges from £58,800 and can rise to £69,700 in a two or three years period. Again, a qualified attorney who has about 5 years of experience can earn around £78,000. Additionally, an attorney at a salaried partner level can earn around £115,000 and an equity partner can earn anywhere between £150,000 to £500,000.

Benefits for IP lawyers in the modern era

Ingenious ideas as a means to profit-generation

Ideas have little to no intrinsic value. IP rights have tremendous scope in turning innovations into commercially viable products and services. Copyright and Patent registration provide a constant fee flow, which, in turn, increases the revenue, thus, improving the overall market results. Here, there appears a need for a Copyright and Patent lawyer.

Export business opportunities

Intellectual property also enhances the productivity of a company in the export market. An IP right holder can use the registered logos and/or designs to sell products and services abroad, and may also enter into franchise agreements with foreign companies, or even export the proprietary commodities. Hence, from product registration to overseas sales, the need for an IP lawyer is increasing.

Encourage ideas by backing them up with IP protection

When a creator has a unique idea or development, there will be people who will try to replicate the concept of development for monetary gain. In such cases, these ideas, innovations and concepts must be protected from getting infringed by any third party. IP security can be implemented in enterprises of all forms and sizes. Therefore, after assessing the market needs and situations, an individual should decide which Intellectual Property Rights (Trademarks, Copyrights or Patent registration) should be used to cover different areas of IP law. Even here, there exists an apparent need for an IP lawyer.

COVID-19 pandemic and IPR

The open COVID pledge is an effort of techies including IBM, Microsoft, Amazon, Twitter, Hewlett Packard and Sandia National Laboratories. They have vowed free use of Intellectual Property (IP) to fight COVID-19. Thus, start-ups could take advantage of this for accelerating the creation and implementation of diagnostics, vaccinations, etc.

Since this move, political leaders around the globe have submitted proposals to increase access to IPRs related to COVID-19. Also, some countries are considering a compulsory license system whereby the government authorizes the third party to perform or use certain procedures without the consent of the patent owner.

Thus, due to the above matters, the demand for IP lawyers has increased tremendously.

Now, let us have a look at several career opportunities available for an IP lawyer, in India and across the globe.

Careers in IP Law

Competition Law

If intellectual property is known to monopolize a creation or invention, Competition law is known to stave off monopoly. The TRIPS Agreement provides the scope of enforcement of competition law vis-à-vis anti-competitive licensing practices and situations. Therefore, a thorough analysis of strategy, company policy and the development of new policies along with drafting contracts is an emerging opportunity for IP lawyers.

Audits and valuation

Intellectual Property Auditing is a tool primarily used to take into account the intangible assets which the companies have developed over a period of time. IP auditing and valuation is very important because it accounts for the goodwill of the company and is one of the many reasons why the companies acquire protection.

In times of change, it is important to identify intellectual property that is owned, used and acquired by a company for managing risks, troubleshooting issues, and implementing best practices in IP asset management and the company usually needs an IP lawyer to perform all the aforementioned activities.

Corporate Law

In the field of Intellectual Property, contracts/agreements are very important legal aspects and include drafting of confidential information agreements, license agreements, assignment agreements, franchise agreements, inter alia.

Therefore, an enterprising lawyer must be familiar with the problems associated with IP and its associated agreements. This opens up a plethora of job opportunities.

Investigation and enforcement advisory

One of the key areas of IP enforcement is the detection of IP rights being violated. In such cases, the investigators who have proper knowledge of laws relating to intellectual property can conduct inquiries and deliver appropriate direction on whether to take any action or not.

Fashion, media and sports

These are the niche areas of practice where Intellectual Property law plays a central role. These sectors are IP intensive. In addition to registering patents, copyrights, and trademarks, these industries have a substantial amount of work relating to licensing, franchising, assignment of IP, IP prosecution as well as enforcement of IP rights worldwide.

Litigation

Litigation is an evergreen field. An individual just has to take the time to work hard and make their name known in the field. The judiciary is also concentrating on this area of law,

considering its dynamic nature. Intellectual Property law proceedings are very much common in the high courts of Indian cities like Delhi, Mumbai, Chennai and Kolkata. Moreover, trademark litigation and dispute matters are at the top, followed by Copyright and Patent law.

Patent lawyer

There can be several jobs a lawyer having specific knowledge of patent law can do. Some of them are as follows:

Patent Analyst

The role of a patent analyst is to look up for potential patent applications. They may also work for a company that develops a product, evaluates the proposed product, and decides whether it can be patented or not. They are responsible for doing a lot of research and investigating if an equivalent item is currently patented, or if a patent of a similar item is pending approval. They need to ensure that the patent application does not face legal ramifications.

Licensing Specialist

Licensing specialists typically work for government agencies. They are responsible for providing licenses and permits to applicants while complying with the rules and regulations of the company. Amongst others, their duties include the following:

Collecting and verifying identification files,

Reviewing and validating requirements,

Answering inquiries,

Collecting fees, etc.

Patent LPOs (Legal Process Outsourcing)

The role of a major LPO service provider includes several features such as:

- legal documentation and writing legal reports,
- legal memo development,
- document management,

- litigation support, and
- Data entry.

Moreover, patent search, application drafting, trademark and copyright registration, legal research and analysis of intelligence services are other highly-skilled LPO tasks.

Patent Drafting Specialist

A patent specification is a highly technical legal document and has two purposes, they are:

1. To disclose an invention to the public in a language that will enable the public to work the invention when relevant patent rights have expired.
2. To identify the subject matter that the patent applicant or patent owner intends to claim exclusively for themselves.

As a key person responsible for drafting a patent specification, the patent attorney must be able to quickly extract the idea of the invention and ultimately, convert it into a specification that protects the invention. Thus, sufficient knowledge of the relevant technology and technical patenting skills is essential for creating patent specifications in a time- and cost-effective manner, especially for a patent drafting specialist.

Top IP law firms

An individual can join the corporate world as an IP lawyer. These jobs are glamorous and will help you fetch a good amount of money. There are several top IP law firms in India, as well as in foreign countries. Some of the top Indian IP law firms are as follows:

- Anand and Anand,
- Remfry and Sagar,
- Cyril Amarchand Mandalas,
- Khaitan & Co.,
- Obhan & Associates, and
- Fidus Law Chambers.

The top IP law firms outside India are:

- Allen & Overy LLP,

- Arnold & Porter,
- Baker McKenzie,
- Bird & Bird LLP, and
- CMS Cameron McKenna Nabarro Olswang LLP.

Roles of an IP lawyer

An IP lawyer plays a variety of significant roles in relation to the protection of intellectual property. From court proceedings to serving as advisors and counselling them, an IPR lawyer performs all the roles.

One task that every IP lawyer does is to prepare the documents required to apply for a patent or trademark. The other is to represent an individual or a company in dealing with others who are abusing their intellectual property.

An IP lawyer may also interpret rules and regulations for clients, conduct research used to create multiple documents, and communicate with clients and other attorneys in both, written and oral form

National Intellectual Property Rights (IPR) Policy-2016

- The National Intellectual Property Rights (IPR) Policy, 2016 approved by the Union Cabinet, is a giant leap by the Government of India to inculcate creativity and stimulate innovation.
- The document lays the roadmap for the future of IPRs in India.
- The policy also reinforces the IPR related service-delivery mechanism of the Government, besides encompassing research and development organizations, educational institutions, corporations, MSMEs, start-ups and other stakeholders in the creation of an innovation-conducive ambience.
- This all-encompassing IPR Policy will protect public interest while simultaneously promoting an environment that allows India's Intellectual Property ecosystem to develop to its full potential.
- A strong Intellectual Property Rights structure will play a big role in attracting investment into India along with boosting the local business ecosystem.

IPR Policy 2016- Objectives

- 1) **IPR Awareness: Outreach and Promotion**
- 2) **Generation of IPRs**
- 3) **Legal and Legislative Framework**
- 4) **Administration and Management**
- 5) **Commercialization of IPR**
- 6) **Enforcement and Adjudication**
- 7) **Human Capital Development**

IPR Awareness:-

- To create public awareness about the economic, social and cultural benefits of IPRs among all sections of society
- A nation-wide program of promotion should be launched with an aim to improve the awareness about the benefits of IPRs and their value to the rights-holders and the public.
- Such program will build an atmosphere where creativity and innovation are encouraged in public and private sectors, R&D centers, industry and academia, leading to generation of protect able IP that can be commercialized.

Generation of IPRs:-

- To stimulate the generation of IPRs as India has a large talent pool of scientific and technological talent spread over R&D institutions, enterprises, universities and technical institutes.
- A comprehensive base line survey or IP audit across sectors will enable assessment and evaluation of the potential in specific sectors, and thus formulate and implement targeted program.

Legal and Legislative Framework:-

- To have strong and effective IPR laws, which balance the interests of rights owners with larger public interest, the existing IP laws in India were either enacted or revised after the TRIPS Agreement and are fully compliant with it.
- These laws along with various judicial decisions provide a stable and effective legal framework for protection and promotion of IPRs.

Administration and Management:-

- To modernize and strengthen service oriented IPR administration, the Offices that administer the different Intellectual Property Rights
- Enhancing their user-friendliness by developing and providing value added services to the user community.
- The administration of the Copyright Act, 1957 and the Semiconductor Integrated Circuits Layout-Design Act, 2000 is being brought under the aegis of DIPP, besides constitution a Cell for IPR Promotion and Management (CIPAM).

Commercialization of IPR:-

- Get value for IPRs through commercialization the value and economic reward for the

- owners of IP rights comes only from their commercialization.
- Entrepreneurship should be encouraged so that the financial value of IPRs is captured.
- It is necessary to connect investors and IP creators.
- Efforts should be made for creation of a public platform to connect creators and innovators to potential users, buyers and funding institutions.

Enforcement and Adjudication:-

- To strengthen the enforcement and adjudicatory mechanisms for combating IPR infringements, there is a need to build respect for IPR among the general public and to sensitize the inventors and creators of IP on measures for protection and enforcement of their rights.
- Need to build the capacity of the enforcement agencies at various levels, including strengthening of IPR cells in State police forces. Measures to check counterfeiting and piracy also need to be identified and undertaken.
- Regular IPR workshops/ colloquial for judges would facilitate effective adjudication of IPR disputes.
- It would be desirable to adjudicate on IPR disputes through specialized commercial courts.

Govt. schemes in IPR

The filing of intellectual property rights (IPR) including patents and trademark by startups, along with industry linkages will be encouraged innovation and enterprise in India.

The scheme envisages 80% rebate in patent filing and 40%-50% rebate compared to the conventional industries and the companies, he said

“You can couple the Startups, eg. You have the Mudra scheme, which offers you a loan of 10-20 lakhs without any gratuity, mortgage, almost interest free,” he said.

Government launched the scheme, Startups Intellectual Property Protection (SIPP) for encouraging innovation and creativity of startups. Under the new Trademark Rules, Startups have been given a 50% rebate in filing fees compared to other companies.

Even for promotion of registration of Industrial Designs by StartUps as per the new design amendment rules 2021, the government has reduced filing and prosecution fees for small entities.

IPR Initiatives

Ministry of Electronics and Information Technology (MeitY) has always acknowledged R&D and promotion of innovation as an integral part of the ICT ecosystem. Towards this it has been supporting the entire value chain of R&D activities in the country ranging from the basic components to sophisticated product development in the sphere of ICT.

Recognizing the need for the protection of Intellectual Property (IP) as a vital component of innovation and scientific advance and that many of the benefits of inventions will be lost if the resulting IP is not protected, MeitY has made significant strides in recent years in creating a conducive ICT-IPR ecosystem for creation, protection, awareness and commercialization of IP as well as IP Rights.

Towards this MeitY is having a dedicated division for IPR related support services created with the objectives of:

- Spreading awareness and facilitating support
- Promoting IPR in ICT domain
- Creating a conducive infrastructure for a strong IPR ecosystem

Some of the major IPR initiatives of the division are:

Some of the major initiatives of the division are:

- Establishment of Centre of Excellence in Intellectual Property
- Providing IP Facilitation Support to MeitY Societies and Grantee Institutions
- Providing Financial Support to Startups and SMEs for International Patent Filing through SIP-EIT Scheme
- IPR Awareness through Financial Support to Industry Bodies and Academia
- Providing Help-Desk services For IPR
- Creation of IPR Awareness through Digital Media

Centre of Excellence in Intellectual Property (CoE-IP)

A robust ICT-IPR ecosystem can help capitalize on the growth-enhancing effects of innovation vis-à-vis ICT. MeitY recognizes the importance of creating a conducive framework for IPR protection and has unleashed a slew of initiatives over the years to protect intellectual assets emanating from our country. Centre of Excellence in Intellectual Property (CoE-IP) established under TIDE 2.0 scheme and run by CDAC Pune is one such initiative which was envisioned with the objective of helping innovators, startups and SMEs to understand the value of intellectual property (IP), offer value added services and ensure adequate protection of the IPRs. CoE-IP is being implemented with a budgetary outlay of Rs.323.77 Lakhs over a period of 5 years. The aim of the project is to encourage the growth of IP in ICT by way of creating a conducive framework for identification, protection and monetisation of IPRs.

Objectives

- To encourage the growth of IP in ICT by way of providing various IP related services
- Creating awareness and facilitating IPR support to Startups/ SMEs/academia/inventors
- Sensitizing about intellectual property protection and avoidance of infringement
- Facilitation of know-how on various facets of IPR filing (patents, copyrights, trademark, etc.)
- Providing IPR assistance to MeitY supported R&D projects

Support for International Patent Protection in E&IT (SIP-EIT) – II for Micro, Small and Medium Enterprises and Technology Startup Units

Support for International Patent Protection in E&IT-II (SIP-EIT-II) is a scheme by MeitY to provide support to MSMEs and Startups that are trying to secure intellectual property rights on a global level. SIP-EIT scheme provides financial support to MSMEs and tech Startups for international patent filing so as to encourage innovation and recognize the value and capabilities of global IP and establish competitive advantage. The scheme was for a period of 5 years with the mandate to support 200 international ICT patent applications.

Salient Features of the Scheme

- Providing financial support for international patent filing in Information Communication Technologies sector
- Reimbursement upto maximum of Rs 15 Lakhs per invention or 50 % of the expenses incurred in filing patent, whichever is less
- The applicant can apply for the support at any stage of international patent filing.
- Facility to apply online through web-portal <http://ict-ipr.in/>
- One application for foreign filing in all countries for a particular invention is considered under the scheme
- Option of 5 applications per financial year from a single entity
- This is a pure grant subject to approval by MeitY and no stake in the supported patent is envisaged under the scheme

IPR Awareness

In order to enhance innovation, competitiveness and economic growth in India, it is imperative to harness IP. More specifically, with the phenomenal growth of Indian IT/ITES sector and its

need to move up the value chain, it is important to foster innovation and legally protect and exploit IPRs generated in India.

However awareness about IPR procedures and methodologies specifically for a complex domain like ICT continues to pose a challenge for increasing IPR filings.

To address the issue MeitY had initiated a scheme to provide financial support to academic institutions, industry bodies and MeitY autonomous societies for conducting IPR awareness workshops.

Salient Features of the Scheme

- Educational institutes providing technical education in Electronics & Information Technology domain and preferably having technology incubation park/entrepreneurship cell are eligible for support under the programme.
- Industry bodies like MAIT, ELCINA, CII, NASSCOM, FICCI, IESA, ASSOCHAM etc. are eligible for support for conducting awareness programmes proposed for working Professional and innovators.
- MeitY Societies or MeitY Autonomous bodies are eligible for support for workshops/seminars involving international experts.
- Financial assistance in the form of Grant-in-Aid will be provided to eligible institutions for organizing IPR Awareness workshops/seminars. The funding will be restricted as per following criterion:
 1. Support for awareness programmes in educational institutes will be limited to Rs.2.0 Lakhs per programme
 2. Rs 3.0 Lakhs for awareness programmes to be organized by industry bodies.
 3. Rs 5.0 Lakhs for workshops to be organized by MeitY Societies and MeitY Autonomous bodies and involving international experts.

Patent Analysis and Management System (PAMS)

With the growth of the IT industry as well as other technical sectors an urgent need is felt to protect the IPR generated from India. Scientists as well as innovators need to be able to protect their ideas and ensure that their Intellectual property is protected. However precise information regarding the form of IPR and its management from creation to licensing needs to be made available to the stakeholders to leverage benefits out of intellectual property.

It is to fill this very important lacuna that Centre of Excellence in Intellectual Property (CoE-IP) had initiated the Patent Analysis Management System (PAMS) portal for providing a range of value added intellectual property related services.

PAMS is a Single Window Interface for providing:

- Prior Art Search services
- Invention Analysis
- IPR Queries
- Landscape Reports
- Latest updates on IPR Awareness programs/ success stories/Blogs

IP Panorama

To give an in-depth understanding of the various types of IPRs, a user friendly e-learning multimedia toolkit has been developed by CoE-IP. The prime purpose and focus of the IP Panorama is to create IPR awareness among the targeted stakeholders comprising tech Startups MSMEs, and academia belonging to the ICT domain.

Divided into a total of 10 modules, IP Panorama delves into various facets of intellectual property rights and is attuned to Indian IP laws and systems.

Brief Introduction of Cyber laws and Information Acts.

Cyber law also referred to as cybercrime law or Internet law, calls to the legal system that controls behaviors and deals in the digital world. Through the protection of information access from unauthorized users, Internet-related freedom of speech, privacy, communications, email, websites, intellectual property, hardware, and software, including data storage devices, cyber laws help to lessen or prevent large-scale cybercrime.

The Information Technology Act, 2000 (IT Act) is the primary legislation in India that deals with cyber law and electronic commerce. It was enacted to legalize electronic transactions and reduce cybercrimes. The IT Act came into force on October 17, 2000.

Here are some of the provisions of the IT Act:

Cyber crimes

The IT Act covers a range of cyber crimes, including hacking, stealing data, unauthorized access to computer systems, and spreading offensive material online.

Electronic signatures

The IT Act requires a license certificate to issue an electronic signature.

Computer source code

Tampering with computer source code, or destroying or concealing it, can lead to a fine of up to two lakh rupees and/or three years' imprisonment.

Section 66A

This section criminalizes the sending of offensive messages through a computer or other communication devices. The punishment for this offense is imprisonment up to three years and a fine.

Section 43

This section states that accessing, downloading data, introducing a computer virus, or causing denial of access without permission can lead to a penalty of up to one crore rupees.

Importance

- The Act provides legal recognition to electronic records, resulting in the growth of e-commerce and digital transactions in India.
- It has established electronic signatures as the legal equivalent of physical signatures.
- The formulation of this act has come up with the establishment of the Controller of Certifying Authorities (CCA), a government body that is responsible for issuing and maintaining the security of digital signatures as well as certificates.
- The Act has made it mandatory for companies to obtain consent from consumers when it comes to collecting or using their personal information.
- With the Act becoming effective, individuals have the right to seek compensation in case of damage or misuse of their personal data by an unauthorised party.
- Through the Act, the Government of India can criminalise cybercrime, hacking and spreading of computer viruses.
- The **Information Technology Act 2000** also authorised the establishment of the Cyber Appellate Tribunal, a specialised official body hired to address the appeals against orders passed by Adjudicating Officers under the Act.
- It contains provisions that safeguard the critical information infrastructure, including communication networks and power grids.

Types of Cyber Law

- **Cybercrime Laws:** This ensures that those who violate them will endure legal action. This law defines and penalizes many forms of cybercrime.

- **International Cyber Laws:** This law focuses on the necessity for international collaboration of cross-border cybercrimes in light of the rising incidence.
- **Cyber security Laws:** By mandating businesses, cyber security laws enlarge the overall resilience, to implement reduction measures of cyber-attack.
- **E-commerce Laws:** When it comes to doing business online law sets out rules for contracts, deals, and customer safety. Contracts created electronically won't automatically be null just because they're electronic.
- **Privacy Laws:** Privacy laws is to prohibit unauthorized access and use of individuals' personal information. It can be stored by public or private organizations, governments, and other people.

Advantages of Cyber Law

- **Data privacy:** One of the main issues covered by cyber laws is the protection of people's digital information.
- **Awareness and Education:** India's cyber laws place a strong focus on the need for education and awareness raising about digital rights and cybersecurity.
- **Safe intellectual property:** Cyber regulations secures intellectual property rights, which promote innovation, creativity, and technological advancement.
- **Cybersecurity Standards:** These laws address the changing cyber threat scenario to insert in place protection for the security of their networks and systems.
- **Prevention of Cybercrimes:** Cyber laws are very crucial for stopping and fighting hacking. By criminalizing such actions, internet laws act as a barrier, dissuading potential criminals from participating in illegal behavior.
- **Encouraging Online Shopping:** India's cyber regulations provide a favorable atmosphere for online business. They provide the legal foundations for digital signatures, electronic payment methods, and electronic contracts, they ensure the enforceability of electronic transactions and the legitimacy of digital signatures, and these rules contribute to the development of confidence between buyers and sellers.

Disadvantages of Cyber Law

- **Reputational Damage:** Cyber-attacks have the potential to damage an organization's reputation by threatening customer assurance and trust.
- **Complexity:** Because cyber laws are such a complicated topic, specific knowledge and experience are needed. Effective security measure implementation and maintenance may be challenging for small enterprises due to a lack of funding for the employment of specialized cybersecurity personnel.
- **Operational Disruptions:** Cyber-attacks such as ransom ware and malware can destroy services and create logistical difficulties by interfering with the regular operations of companies and vital infrastructure.

- **Jurisdictional Issues:** Because the internet crosses conventional geographic borders, it may be difficult to implement cyber laws in many countries. Because of the possibility that both the culprit and the victim may live in nations with diverse legal systems, jurisdictional problems often arise in court proceedings involving cybercrime, intellectual property violation, and other digital crimes.
- **Resource constraints:** It's viable that law enforcement organizations and court systems don't have the tools or technology infrastructure needed to successfully enforce cyber laws and bring charges against offenders.
- **Possibility of Human Error:** One of the biggest risks to cyber security is human errors. Employees can unintentionally download a file consisting of a virus or click on a malicious link, which would compromise the network as a whole. Human mistake poses a danger even in the presence of strong security measures.

Intellectual Property crimes can be committed using computers, which can make them cybercrimes.

Examples of intellectual property (IP) crimes include:

- **Theft:** Stealing IP, such as patents, copyrights, trademarks, trade secrets, names, logos, symbols, inventions, or client lists
- **Infringement:** Unauthorized interference with the property rights of another, such as copyright infringement
- **Counterfeiting:** Producing goods that falsely have genuine trademarks
- **Piracy:** Illegally distributing protected materials
- **Economic espionage:** Unlawfully targeting and stealing critical economic intelligence, such as trade secrets and IP

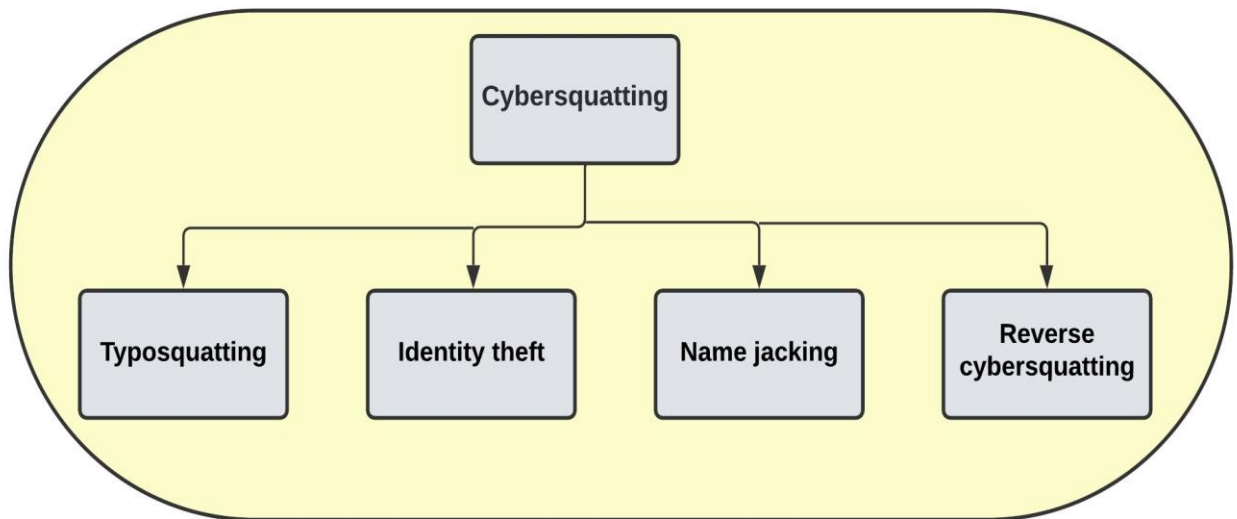
Cybersquatting

The act of registering, selling, or using a domain name with the intent of profiting from the goodwill of someone else's trademark is known as cybersquatting (*also known as domain squatting*). It generally refers to purchasing domain names that contain the names of existing businesses to resell the names to those businesses for a profit or confuse customers.

For example, If the company had not yet created a website, a cybersquatter could purchase naukri.com. A cybersquatter does this to later sell the domain to Naukri for a profit. Or, he can even use the domain name to lure traffic and generate cash via advertising.

Types of cybersquatting

At the moment, the four most common types of cybersquatting are ***typosquatting***, ***identity theft***, ***name jacking***, and ***reverse-cybersquatting***.



Typo squatting

Typo squatting (a.k.a URL hijacking) targets Internet users who enter a website address incorrectly into their browser. ***For example***, typing “Goooogle.com” instead of “Google.com.”

Identity theft

Identity theft describes crimes where someone unlawfully obtains and uses another individual’s private data to involve deception or fraud, usually for financial gain.

Name jacking

The registration of a domain name associated with an individual’s name, usually a celebrity or a well-known public figure, is referred to as name jacking. Name jackers profit from web traffic related to the individuals being targeted.

Reverse-cybersquatting

Reverse-cybersquatting is an aggressive action that a cybersquatter uses to obtain a specific domain name on the Internet. Cybersquatters may use intimidation and pressure to transfer legitimate ownership of a domain name to the person or organization that owns a registered trademark reflected in the domain name.

The first case of cybersquatting in India

Yahoo Inc. v. Akash Arora was the first domain squatting case in India. In this case, Yahoo Inc., based in the United States, filed an injunction suit against the defendant Akash Arora, who had registered a deceptively similar trademark to Yahoo Inc. as “Yahoo.com.”

The High Court of Delhi issued an injunction in favor of the plaintiff, preventing the defendant from using “Yahoo!” because it infringed on Yahoo Inc.’s trademark. Because the defendant’s domain name was deceptively similar, consumers were easily confused, despite the defendant’s disclaimer or the addition of the word “India” in its domain name.

How to handle cybersquatting?

To begin, confirm that it is a case of domain squatting. Sometimes it appears to be a domain squatting case, but it could be a trademark infringement case. For example, the trademark “Moby Dick” is associated with the sale of fine art. In contrast, www.mobydick.com is a website about road cleaning machines. Because there is no direct competition between the products, this is not cybersquatting.

Once you’ve determined that it’s a domain squatting case, use a “WHOIS Lookup” to contact the domain name holder. The owner’s contact information will be available, and you can find out if they have an explanation or if they are willing to negotiate the sale of the domain at a reasonable price.

If you cannot reach an agreement to sell the domain, you can contact lawyers to open a case file. Legal proceedings can be time-consuming and costly. As a result, many businesses prefer to reach an agreement directly with the domain owner, who has the upper hand in negotiations.

Laws in India related to cybersquatting

Unlike many other developed countries, there is no Domain Name Protection Law in India. Cybersquatting cases fall under the Trade Mark Act, 1999. The Trade Marks Act of 1999 has a limitation in that it is not extraterritorial and thus does not provide adequate protection for domain names.

Laws in other countries related to cybersquatting

There is an organization to handle domain squatting cases in other countries, such as the United States. In the United States, a victim of domain squatting has two options:

- Sue, under the provisions of the Anti-Cybersquatting Consumer Protection Act (ACPA)
- Use the Internet Corporation for Assigned Names and Numbers’ international arbitration system (ICANN)

